KPMG

Project Covenant

Financial Due Diligence Report [Final]

Deal Advisory I
October 2025

KPMG Samjong Accounting Corp.
27th Floor, Gangnam Finance Center,
152, Teheran-ro, Gangnam-gu
Seoul, Republic of Korea
06236

Private and Confidential

Oct 21, 2025

45th Floor, 108 Yeoui-daero, Yeongdeungpo-gu,
Seoul Leading Ace Capital Co., Ltd.

KPMG Samjong Accounting Corp("KPMG) have completed our engagement to assist in performing due diligence of Myungryundang, Alldayfresh, Penple, MZ logistics("Target" or the "Company") on behalf of Leading Ace Capital Co.,Ltd(the "Client"), in accordance with the terms of the service agreement.

The purpose of the work performed by KPMG is to provide potential investors with financial information as of date of due diligence on Target and not to provide you with any advice or recommendation as to whether or not to proceed with the transaction under consideration.

KPMG's engagement does not cover all material aspects of Target, and we do not necessarily mention all errors, frauds, or illegal acts that may exist. KPMG does not guarantee to you or any other party, for any purpose, the sufficiency of the procedures we have performed under the engagement letter.

The main scope of our engagement was to understand, analyze and highlight the provided financial information. This report is designed to be part only of the due diligence process which potential investors may wish to undertake and to which potential investors must bring their own expertise and knowledge.

Our report is for the information of the addressee only and should not be quoted or referred to, in whole or in part, without our prior written consent, except as specifically provided in our engagement letter.

Important Notice:

Our work commenced on Sep 10, 2025 and our fieldwork was completed on Oct 21, 2025. We have not undertaken to update our report for events or circumstances arising after that date.

In preparing our report, our primary source has been internal management information and representations made to us by management. We do not accept responsibility for such information which remains the responsibility of management.

We have satisfied ourselves, so far as possible, that the information presented in our report is consistent with other information which was made available to us in the course of our work in accordance with the terms of our engagement letter. We have not, however, sought to establish the reliability of the sources by reference to other evidence. The scope of our work was different from that for an audit and, consequently, no assurance is expressed.

Our report makes reference to 'KPMG Analysis'; this indicates only that we have (where specified) undertaken certain analytical activities on the underlying data to arrive at the information presented; we do not accept responsibility for the underlying data.

Glossary (1/2)

Review date	30–Sep–25
Period	from January 2021 to June 2025
MRD	Myungryundang
ADF	All Day Fresh
PP	Penple
MZ	MZ logistics
Ad	Advertisement
ADA	Allowance for doubtful accounts
Add’l	Additional
Adv	Advanced
Adv.P	Advance payments
Agg.	Aggregated
Ann.	Annualized
AP / A/P	Accounts payable
APP	Average Purchase Price
Approx.	Approximate
Apr	April
AR / A/R	Accounts receivable
ASP	Average Selling Price
Aug	August
Biz.	Business
BS	Balance Sheet
BU	Business Unit
BV	Book Value
CAPEX	Capital Expenditures
chg.	Change
CIP	Construction in progress
CIT	Corporate Income Tax
CM	Contribution Margin
co.	Company
COGS	Cost of Goods Sold
Comm.	Commission
Consol	Consolidated
Contrib.	Contribution
cos.	Companies
D&A	Depreciation and Amortization
Dec	December
Disc.	Discontinued
Distrib.	Distributor
DLI	Debt Like items
Dom.	Domestic
EBIT	Earnings Before Interest and Tax
EBITDA	Earnings Before Interest, Tax, Depreciation and Amortization
EBT	Earnings Before Tax
eff.	Effect
empl.	Employees
Equiv.	Equivalent
etc.	Et cetera
Ex.	Existing
Feb	February
FS	Financial Statements
FX	Financial Exchange
GP	Gross Profit
HC	Headcount

Glossary (2/2)

HO	Head Office
HQ	Headquarters
incr.	Incremental
Instr.	Instruments
Jan	January
Jul	July
Jun	June
liab.	Liability
LTM	Last Twelve Months
Maint.	Maintenance
Mar	March
May	May
MC	Manufacturing Cost
MJG	Myeongryun Jinsa Galbi (명륜진사갈비)
MOR	Market Overdraft Rate
na	Not applicable
NI	Net Income
nm	Not meaningful
NoA	Non-operating Assets
Nov	November
np	Not provided
nq	Not quantified
NWC	Net Working Capital
O/P	Other Payables
O/R	Other Receivables
Oct	October
OP	Operating Profit
op.	Operating
ops.	Operations
Ovs.	Overseas
OWC	Other Working Capital
P&I	Principal & Interest
PL	Profit and Loss statement
PPE	Property, Plant and Equipment
Prem.	Premium
QoA	Quality of Net Assets
QoE	Quality of Earnings
QoWC	Quality of Working Capital
rec.	Recurring
Ref	Reference
ret.	Retirement
RP	Related Party
SAD	Shabu All Day (샤브올데이)
Sep	September
SG&A	Selling, General and Administrative expenses
share.	Shareholders
SPA	Share Purchase Agreement
TWC	Transaction WC
VAT	Value Added Tax
WC	Working Capital
YoY	Year over Year
yr	Year
YTD	Year To Date

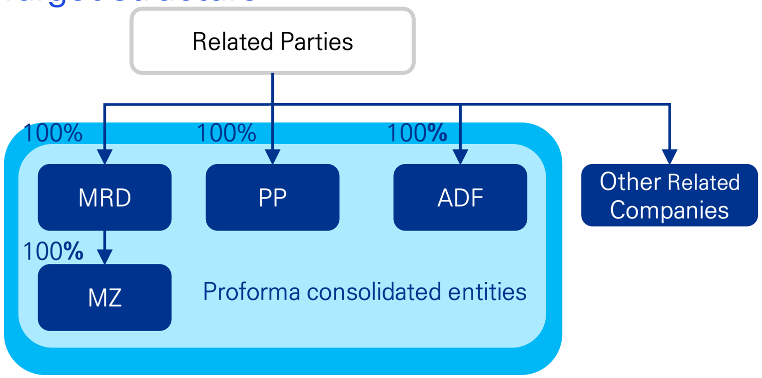
Contents

Strictly Private & Confidential

Target Overview

The Company, mainly engaged in the Myeongryun Jinsa Galbi("MJG") franchise business, has expanded its growth with ADF's Shabu All Day ("SAD") launch in Oct 2023 and MZ establishment in Apr 2024.

Target structure



- 2017.07 [MRD] Launch of the MJG brand (Yongin Bojeong branch)
- 2017.12 [PP] Strategic partnership signed with MRD
- 2018.11 [MRD] Renamed as Myeongryundang Co., Ltd.(MRD)
- 2020.11 [MRD] 500th MJG branch contracted (Pyeongtaek Poseung)
- 2023.12 [MRD] Korea's No.1 Brand Satisfaction & Customer Award Winner
- 2024.04 [MRD] Exclusive model deal with Namgoong Min; founded MZ (100% owned).
- 2024.05 [ADF] Renamed from Myeongryundang Partners to All Day Fresh.
- 2025.02 [ADF] 150th SAD store confirmed.

1H2025 Financial Overview (Consolidated Proforma Entities)

KRWm	MRD	ADF	MZ	PP	Agg.	Proforma
Assets	278,054	83,965	22,380	21,153	405,552	292,028
Liabilities	185,642	26,027	17,748	1,951	231,368	150,286
Net assets	92,412	57,938	4,631	19,202	174,184	141,742
Revenue(LTM)	262,592	183,075	143,109	67,810	656,586	444,472
OP(LTM)	27,451	58,983	3,023	3,039	92,496	64,123
EBITDA(LTM)	32,570	59,047	3,228	3,039	97,884	68,388
EBITDA%	*12.4%*	*32.3%*	*2.3%*	*4.5%*	*14.9%*	*15.4%*

Source: Company Information

Shareholder composition as of June 2025

1 share/%	MRD	ADF	MZ	PP
Issued Shares	40,000	200,000	200,000	30,000
Shareholding Ratio	100%	100%	100%	100%
MRD	–	–	100%	–
DSA(MRD Co-CEO)	35.0%	–	–	–
LJK(MRD Co-CEO)	10.0%	100%	–	86.3%
YJS(LJK's spouse)	11.0%	–	–	3.7%
LJW(Jae-won, LJK's son)	11.0%	–	–	–
LJW(Jun-one, LJK's son)	11.0%	–	–	–
LJW(Ji-won, LJK's son)	11.0%	–	–	–
LCW(LJK's daughter)	11.0%	–	–	–
LJH(PP's CEO)	–	–	–	6.3%
LSA(LJH's spouse)	–	–	–	3.7%

Source: Company Information

Business overview & transaction perimeter

- **Myungryundang("MRD"):** Established in 2017, operates franchise businesses including MJG and develops new brands.
- **Alldayfresh ("ADF"):** Manages franchise operations for Shabu All Day and Pizza Cucina.
- **MZ logistics ("MZ"):** Founded in Apr 2024; internalized logistics previously outsourced to Line Logistics System and Han Express. Engages in wholesale and transport of processed meat, sauces, and other products.
- **Penple ("PP"):** Imports and supplies raw meat for franchise outlets.
- **Other Related Companies:** Thirteen lending and investment entities supporting new ventures such as meal kits and franchise startups..

Strictly Private & Confidential

Transaction Overview

The Company primarily operates the Myeongnyun Jinsa Galbi(“MJG”) franchise and also runs several other brands, including Shabu All Day(“SAD”), Gonggam Bapsang, and Success Dream, along with multiple owned stores.

Related Parties[1]

Penple(PP)

Alldayfresh(ADF)

Myeongnyundang (MRD)

Logistics	MRD Food, MRD Trading
Franchise	Gonggam Bapsang(Buckwheat Noodles)
	Success Dream F&B
	Bareum FC(On Hold)[2]
	Oharu(On Hold) [2]
Owned	Jinsagalbi Owned Store(10)
	Shabu All Day Owned Store(65) [3]
	Italian Brewery Sincheon Branch
	Gaesuri Makguksu Amsa Branch
	MDG Jeongja Branch
	Sungkyunkwan Wedding Hall

MRD’s Subsidiaries

Logistics	Emji logistics(MZ) (100%)
Franchise	MRD Grand Table (100%)
	MRD America(100%)
	MRD China(100%)
	MRD Phillippine(100%)
	Jinsa Vina(Vietnam)(100%)
Others	YuJin Farm (90%)
	Myeongryunbreurolee (50%)
	Tantandaero (50%)
	Delicious Talk (49%)
	Kook Eleven (49%)

Other Related Companies

New Biz	Oreumepeussi (100%)
	Gibalhanyeonguso (On Hold) [2](100%)
	Dadamepeuaenbi (On Hold) [2](100%)
	Matitneunsuda(51%)
	Kook Eleven(51%)
Others	Start up support center(100%)
Lending Biz	Samjeongenjael Networks Loan and other 12(90~100%)

Proforma Consolidated Entity

Discontinued status

In liquidation

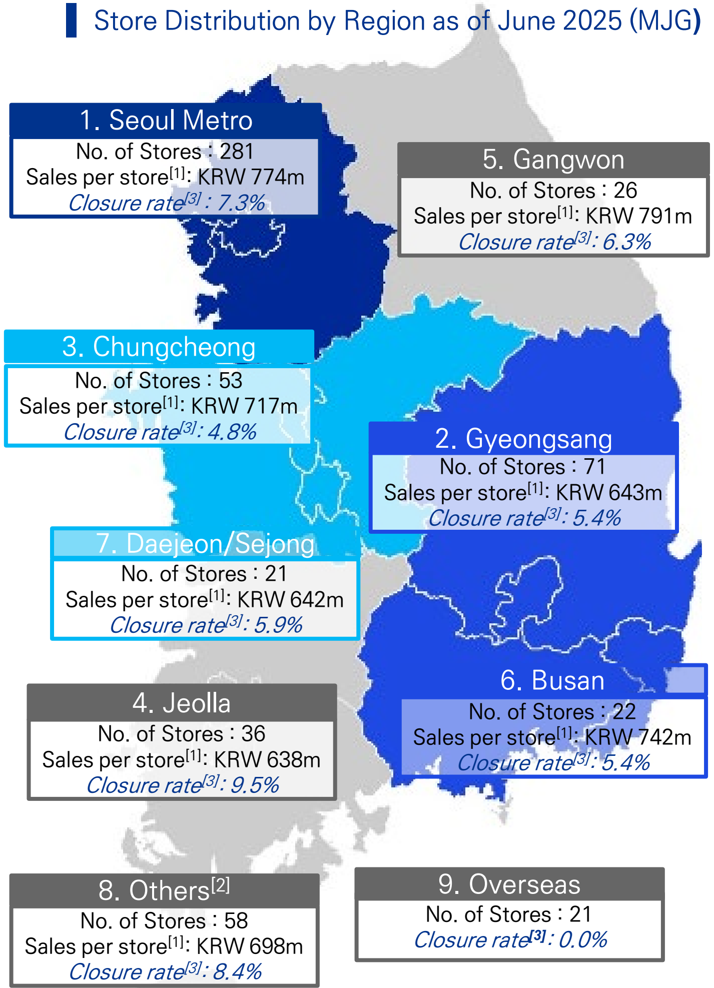
Note: [1] Related parties refer to the shareholders of MRD, ADF, MZ, and PP, and their related parties
[2] On Hold refers to a brand that has been established but is not currently operating any franchise or owned stores.
[3]: ADF owns two Owned SAD stores, resulting in a total of 67 Owned SAD stores under the Company.

Source:Company Information

Franchise Overview (1/2) – Myeongryun Jinsa Galbi

MJG operates 558 franchise stores and 10 owned stores, mainly located in the Seoul metro, Gyeongsang, and Chungcheong areas as of June 2025.

Store Distribution by Region as of June 2025 (MJG)



Source: Company Information
Note : [1] : Sales per Store: Annual sales excluding VAT.
The 2025 figure is based on an annualized estimate.
[2] : Other regions include Gwangju, Ulsan, Daegu, and Jeju
[3]: Closure rate=closures/Beginnig

Store distribution by region (MJG)

	1. Seoul Metro					2. Gyeongsang				
No./KRWm	2021 12mths	2022 12mths	2023 12mths	2024 12mths	2025 6mths	2021 12mths	2022 12mths	2023 12mths	2024 12mths	2025 6mths
Beginning	246	232	216	271	304	79	72	69	71	74
New openings	1	8	67	45	1	–	1	6	5	–
Closures	(15)	(24)	(12)	(12)	(24)	(7)	(4)	(4)	(2)	(3)
Ending	232	216	271	304	281	72	69	71	74	71
Tables per store	26	26	25	28	25	27	27	27	28	27
Sales per store[1]	439	575	1,000	1,013	774	351	430	805	770	643
Closure rate	*6%*	*10%*	*6%*	*4%*	*8%*	*9%*	*6%*	*6%*	*3%*	*4%*

	3. Chungcheong					4. Jeolla				
No./KRWm	2021 12mths	2022 12mths	2023 12mths	2024 12mths	2025 6mths	2021 12mths	2022 12mths	2023 12mths	2024 12mths	2025 6mths
Beginning	47	44	41	49	54	40	36	30	37	39
New openings	–	2	9	6	–	–	–	11	2	–
Closures	(3)	(5)	(1)	(1)	(1)	(4)	(6)	(4)	–	(3)
Ending	44	41	49	54	53	36	30	37	39	36
Tables per store	26	25	25	26	26	26	26	26	26	26
Sales per store[1]	420	508	879	841	717	389	446	802	768	638
Closure rate	*6%*	*11%*	*2%*	*2%*	*2%*	*10%*	*17%*	*13%*	*0%*	*8%*

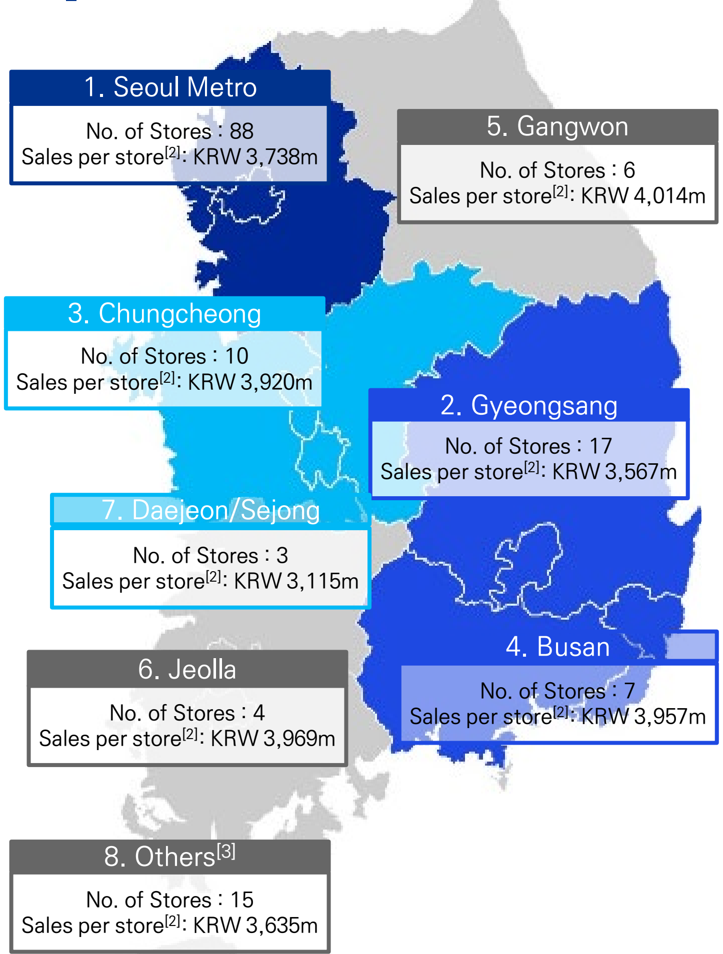
	5. Gangwon					6. Busan				
No./KRWm	2021 12mths	2022 12mths	2023 12mths	2024 12mths	2025 6mths	2021 12mths	2022 12mths	2023 12mths	2024 12mths	2025 6mths
Beginning	19	20	21	26	29	28	25	21	24	25
New openings	1	2	6	6	–	–	1	5	2	–
Closures	–	(1)	(1)	(3)	(3)	(3)	(5)	(2)	(1)	(3)
Ending	20	21	26	29	26	25	21	24	25	22
Tables per store	23	23	24	25	27	29	29	28	27	27
Sales per store[1]	365	511	879	906	791	459	600	997	933	742
Closure rate	*0%*	*5%*	*5%*	*12%*	*10%*	*11%*	*20%*	*10%*	*4%*	*12%*

	7. Daejeon/Sejong					8. Others				
No./KRWm	2021 12mths	2022 12mths	2023 12mths	2024 12mths	2025 6mths	2021 12mths	2022 12mths	2023 12mths	2024 12mths	2025 6mths
Beginning	24	24	23	24	24	59	53	46	56	62
New openings	–	2	2	–	–	–	2	13	7	–
Closures	–	(3)	(1)	–	(3)	(6)	(9)	(3)	(1)	(4)
Ending	24	23	24	24	21	53	46	56	62	58
Tables per store	27	27	26	26	25	25	25	26	26	25
Sales per store[1]	402	460	803	762	642	360	464	879	857	698
Closure rate	*0%*	*13%*	*4%*	*0%*	*13%*	*10%*	*17%*	*7%*	*2%*	*6%*

Franchise Overview (2/2) - ShabuAllDay

The company operates 150 stores, including 65 owned by MRD, 2 by ADF, and the remainder franchised, as of June 2025. MRD acquired 41 MJG franchise stores and converted them into SAD-owned stores.

Store Distribution by Region as of June 2025 (SAD)



Store distribution by region (SAD)

	1. Seoul Metro			2. Gyeongsang		
No./KRWm	2023 12mths	2024 12mths	2025 6mths	2023 12mths	2024 12mths	2025 6mths
Beginning	–	3	25	–	2	7
New openings	3	22	63	2	5	10
Ending	3	25	88	2	7	17
Conversions[1]	–	16	14	–	1	2
Tables per store	40	49	48	45	47	51
Sales per store[2]	724	2,563	3,738	429	3,346	3,567
	3. Chungcheong			4. Busan		
No./KRWm	2023 12mths	2024 12mths	2025 6mths	2023 12mths	2024 12mths	2025 6mths
Beginning	–	1	4	–	–	4
New openings	1	3	6	–	4	3
Ending	1	4	10	–	4	7
Conversions[1]	–	1	1	–	–	1
Tables per store	53	53	53	–	62	54
Sales per store[2]	135	2,608	3,920	–	4,679	3,957
	5. Gangwon			6. Jeolla		
No./KRWm	2023 12mths	2024 12mths	2025 6mths	2023 12mths	2024 12mths	2025 6mths
Beginning	–	–	1	–	–	3
New openings	–	1	5	–	3	1
Ending	–	1	6	–	3	4
Conversions[1]	–	–	2	–	–	–
Tables per store	–	60	54	–	58	55
Sales per store[2]	–	696	4,014	–	1,364	3,969
	7. Daejeon/Sejong			8. Others[3]		
No./KRWm	2023 12mths	2024 12mths	2025 6mths	2023 12mths	2024 12mths	2025 6mths
Beginning	–	–	–	–	1	5
New openings	–	–	3	1	4	10
Ending	–	–	3	1	5	15
Conversions[1]	–	–	1	–	1	1
Tables per store	–	–	51	–	44	48
Sales per store[2]	–	–	3,115	828	3,465	3,635

Source: Company information

Note : [1] Store acquired by MRD and converted from MJG to SAD owned store

[2] Sales per Store: Annual sales excluding VAT.

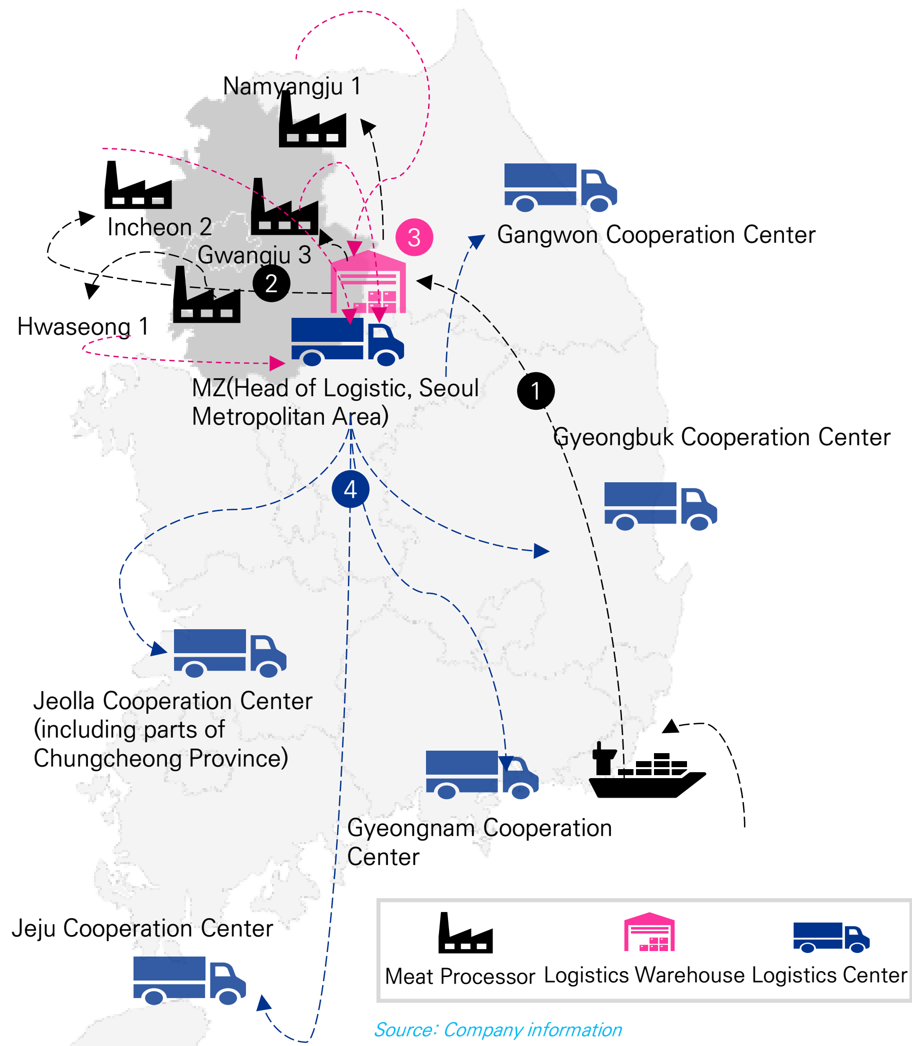
The 2025 figure is based on an annualized estimate.

[3] : Other regions include Gwangju, Ulsan, Daegu, and Jeju

Strictly Private & Confidential

Logistic Overview - PP/MZ

PP purchases raw meat through MSF ("import agent") and sells it to processors, while MRD buys packaged products and MZ distributes them to MRD franchise stores.



Source: Company information

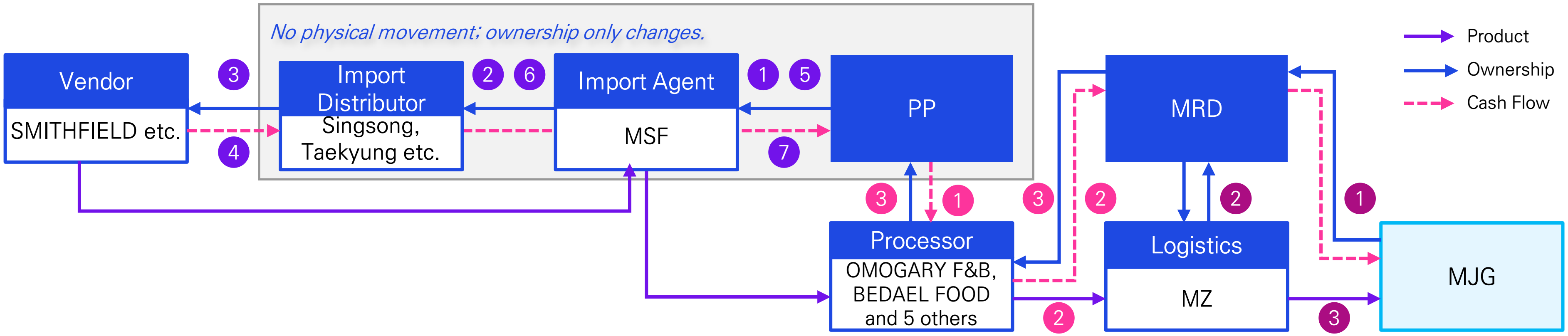
- Raw meat import
  - MSF: MSF identifies and imports raw meat sources as the import agent. Imports are conducted using the distributor's credit line and logistics system. 1 The imported raw meat is stored in the distributor's warehouse.
  - PP: PP purchases raw meat through MSF according to processing volume requirements.(There is no separate warehouse; ownership of the raw meat is transferred within the distributor's Icheon warehouse upon purchase.)
- Raw Meat Processing
  - Outsourced Processor: Based on MRD's demand forecast, PP places orders with outsourced processors for the required quantity of processed meat. 2 The purchased raw meat is transferred directly from the distributor's warehouse to the processors, 3 and the finished products are delivered to MZ's warehouse in Icheon. The processors are mainly located in the Seoul metropolitan area, with a total of seven processors engaged as of the due diligence date.
    - ✓ Processed meat purchased by PP is recorded as "Merchandise revenue" to the processors and as gross purchases by MRD; (however, these transactions are effectively outsourcing transactions and are eliminated as proforma transactions.)
- Processed Meat Transportation
  - 4 Processed meat completed by outsourced processors is first transferred to the MZ warehouse and then distributed to each regional cooperation center.
  - Daily order volumes generated through MRD's ordering system ("Baljugo") are delivered by MZ and the cooperation centers

[ADF]

- Product Procurement and Distribution
  - MZ purchases products from suppliers and sells them to SAD franchise stores.

Strictly Private & Confidential

Business Overview – Raw Meat Purchase and Logistics



Raw Meat Purchase and Distribution Process													
	Import Process							Processing Process			Logistics Process		
	1	2	3	4	5	6	7	1	2	3	1	2	3
From	PP	Import Agent	Import Distrib.	Vendor	PP	Import Agent	Import Distrib.	PP	Processor	MRD	MJG	MJG	MRD
To	Import Agent	Import Distrib.	Vendor	Import Distrib.	Import Agent	Import Distrib.	PP	Processor	MRD/MZ	Processor /PP	MRD	MZ	MJG
Detail	-PP: Pays a deposit to the import agent. -Import Agent: Remits payment to the import distributor. -Upon import, the remaining balance is paid (deposit: 10% of total import price).		MSF opens an LC and places purchase orders through the distributor.	Raw meat import.	-PP: settles payment with the import agent (MSF margin: KRW 50/kg) -the agent: settles with the distributor. -Ownership of raw meat transfers to PP and is stored in the distributor's warehouse [Payment Composition] 1) balance (total import cost – deposit) 2) Interest(6% per annum on total import cost) 3) Transport costs(at the import distributor's cost level) 4) Storage costs(at the import distributor's cost level) 5) Commission(1.0-1.5% of total import cost)			-PP orders processing from Processor based on MRD demand at a fixed unit price (meat + processing + transport).	-MRD: Purchases processed meat and stores it in the MZ warehouse.	-Processed meat Payment Settlement (MRD → Processor → PP)	-Prepayment -Logistics movement occurs after order placement through the "Baljugo" system.	1) Package Products: [MRD→MZ] Transport & storage fee payment 2) Other Products: [MZ→MRD] Incentive payment	Processed Meat Product Delivery (within 2 days after order)

PP is responsible for any KRW-based price fluctuations due to macroeconomic changes

The raw meat price between MRD and PP is fixed in KRW.

Source: Company information

Contents

Basic of preparation (1/2)

The Company's Financial statements("FS") were prepared under K-GAAP. As no consolidated FS exist, the review was conducted based on proforma consolidated FS for MRD, ADF, PP, and MZ (FY21–Jun 2025).

Basis of accounting

- **Fiscal year :** Jan 1 – Dec 31
- **Accounting standards:** K-GAAP
- **Auditor:** Gwanggyo Accounting Corp.; audits since FY20 with unqualified opinions except FY20
- **ERP system:** Accounting and franchise management systems.

ERP system

Items	Details
Accounting	MRD used DOUZONE SmartA until FY21 and implemented DOUZONE iCUBE (including cost management module) in FY22. ADF uses DOUZONE WEHAGO.
Franchise management	- Baljugo: Introduced in FY19 to manage orders and information among the Company, franchisees, and logistics partners. → Franchisees place franchise and general product orders through the system. - MRD Mileage: Franchisee-funded sales promotion (1% of sales) managed and tracked for usage and status.

- **Closing process:** The Company performs monthly and quarterly closings, typically completed within 15–20 days. COGS, severance, and accrued interest are recorded monthly, while ADA, leave provisions, and deferred tax adjustments are made only at year-end.
- **Accounting team:** As of the review date, accounting staff comprised 10 at MRD, 3 at ADF, and 1 at PP. MZ outsources bookkeeping, with one new hired for 2H25.

Basis of preparation (1/2)

Proforma consolidated FS

- As the Company is not required to prepare consolidated FS, the review was conducted based on proforma consolidated FS for MRD, ADF, PP, and MZ (FY21–Jun 2025) prepared in coordination with the Client.
  - **Preparation Logic:** proforma FS prepared by aggregating individual FS of MRD, ADF, PP, and MZ by year, followed by consol adjustments.

Preparation logic

Items	Details
Consol Adj.	Raw meat outsourcing recognized on gross basis; PP revenue to processors eliminated in consolidation.
	Intercompany revenue identified and offset with corresponding counteraccounts.
Revenue & COGS	Only unrealized open sales excluded; no other unrealized profit assumed.
CM	Variable cost defined as sales-linked COGS (raw material, power, supplies, open sales, F&B, etc.) to derive CM.
EBITDA	Bank borrowings and franchise interest deemed operating historically but not adjusted, as lending transactions with finance companies are excluded from the deal.

  - **Unaudited FS:** ADF, MZ, and FY25 YTD (Jun) financial statements are unaudited.

Basic of preparation (2/2)

Analysis based on the Company’s sales ledger and management P&L data.

Basis of preparation (2/2)

[Proforma] consolidated PL
MRD BU
Revenue
Merchandise
Product
Incentive
Royalty
Opening
Others
Cash variable costs
Merchandise
Opening
Product
Others
Contribution Margin (CM)
SG&A
Personnel costs
COGS / SG&A (Fixed cost)
EBITDA
(–) D&A
EBIT

Proforma consolidated FS

- Revenue and CM analyses were based on the following data by revenue type; minor discrepancies noted among Company FS, management P&L, and detailed revenue/COGS data.
  - **Merchandise, product, incentive, royalty, others : Based on sales ledger and management interviews.**
  - **Opening** : Detailed breakdowns provided, though figures differ slightly from FS.

Key accounting policy

Items	Details
Revenue recognition	Rev. is recognized monthly, with key recognition criteria as follows: – Merchandise/Product : Deducted from franchisees’ prepayments upon order; rev. recognized at month-end upon sale to franchisees. – Opening: Recognized in the month the franchise opens and sales occur. – Royalty: Recognized at month-end for royalties attributable to the current month. – Incentive : Recognized at month-end for incentives earned during the month.
COGS	COGS recognized at monthly closing.
Inventory	Entirely merchandise inventory, comprising raw meat and open-rev.-related items. The latter represents amounts paid by MRD/ADF to interior and equipment vendors prior to issuing open-rev. tax invoices, recognized as inventory.
ADA	MRD applies both individual assessment (100% write-off for closed/uncollectible accounts) and collective assessment (rates based on historical loss experience applied to remaining receivables). ADF and MZ have no ADA, while PP applies 1% of AR in line with tax limits.

[Proforma] Quality of Earnings – Normalize Adjustments (1/7)

Adj. EBITDA was KRW 76,877m(17.6%) for LTM25 and KRW 47,213m(17.7%) for 1H2025. The post-endemic brand renewal, the first since the company's establishment, was treated as a one-off item and adjusted accordingly.

[Proforma] Quality of Earnings

KRWm	Ref	2021 12mths	2022 12mths	2023 12mths	2024 12mths	LTM25 12mths	2025 6mths
Revenue		84,223	96,794	251,485	307,774	444,472	275,408
EBITDA		8,221	9,566	43,190	43,714	68,388	41,936
EBITDA%		*9.8%*	*9.9%*	*17.2%*	*14.2%*	*15.4%*	*15.2%*
EBITDA Normalization							
Non-operating opening rev.	*A*	(74)	793	(6,305)	(168)	155	41
Meat repurchase agr.	*B*	–	–	–	–	2,111	2,111
Royalty policy change	*C*	(561)	210	2,090	2,260	1,541	620
Related party payroll	*D*	564	306	1,131	2,155	318	210
Non-operating cost	*E*	381	366	712	676	1,071	748
Logistics eff. (incentive)	*F*	441	496	1,846	1,042	–	–
Logistics eff. (product)	*G*	56	86	165	45	–	–
One-off cost	*H*	731	167	273	758	639	516
Ad exp. – TV	*I*	601	583	2,352	6,386	2,301	881
Incentive rev.(Lotte)	*J*	101	87	149	266	296	144
Discontinued operations	*K*	–	13	102	138	57	7
Covid-19 relief	*L*	893	43	–	–	–	–
Subtotal		3,133	3,151	2,514	13,556	8,489	5,277
Revenue Normalization							
Non-operating opening rev.	*A*	(77)	(2,160)	(35,381)	(1,777)	(438)	–
Meat repurchase agr.	*B*	–	–	–	–	(9,243)	(9,243)
Royalty policy change	*C*	(561)	210	2,090	2,260	1,541	620
Logistics eff. (incentive)	*F*	3,342	3,619	14,519	8,298	–	–
Logistics eff. (product)	*G*	56	86	165	45	–	–
Incentive rev.(Lotte)	*J*	101	87	149	266	296	144
Discontinued operations	*K*	–	–	(13)	(71)	(10)	–
Year-end adj. for ad rev.	*M*	–	–	–	–	891	(56)
Subtotal		2,861	1,842	(18,471)	9,021	(6,964)	(8,535)
Adj. Revenue		87,084	98,636	233,014	316,794	437,508	266,873
Adj. EBITDA		11,354	12,717	45,704	57,270	76,877	47,213
Adj. EBITDA%		*13.0%*	*12.9%*	*19.6%*	*18.1%*	*17.6%*	*17.7%*
Other Consideration							
FX exposure	*N*	(7,598)	(3,410)	(3,946)	(1,662)	–	639

Source: KPMG analysis

❖ *KPMG has identified the following adjustments based on the available information. These adjustments may be subject to change if additional information is provided, and other adjustments may also be introduced.*

Normalization

A. Non-op./rec. opening rev.: Adjustment for non-recurring and non-operating items within MRD's historical opening revenue.

Non-operating/recurring opening revenue

KRWm	2021 12mths	2022 12mths	2023 12mths	2024 12mths	LTM25 12mths	2025 6mths
Non-op./rec. opening rev.	(77)	(2,160)	(35,381)	(1,777)	(438)	–
Brand renewal	–	(2,003)	(34,861)	(1,620)	(370)	–
Franchisee loan P&I	(77)	(157)	(520)	(157)	(68)	–
Non-op./rec. opening cost	3	2,953	29,076	1,609	593	41
Renewal cost	–	1,559	24,264	1,070	256	–
HO renewal contrib.	3	1,394	4,812	539	338	41
EBITDA impact	(74)	793	(6,305)	(168)	155	41

Source: Company Information

- Non-recurring opening revenue – Renewal : Brand renewals initiated after the endemic were mostly completed by the as of 2024, and no renewal-related opening revenue was recognized as of 1H25. Considering the non-recurring nature of the related renovation projects, adjustments were made to revenue, cogs, and head office-borne renovation expenses.
- Non-operating opening revenue – Franchisee loan P&I : In FY19-FY20, certain franchisees financed initial investments through leases guaranteed by MRD. Following deteriorated performance at some stores, MRD subrogated the related obligations and recognized the assets as PP&E. As principal and interest from these receivables are recorded as opening revenue, an adjustment was made considering the non-recurring nature of the transaction.

[Proforma] Quality of Earnings – Normalize Adjustments (2/7)

Sales of raw meat under repurchase agreements were adjusted as financing transactions in substance, and the impact of the royalty policy change was retrospectively applied to prior periods.

[Proforma] Quality of Earnings

KRWm	Ref	2021 12mths	2022 12mths	2023 12mths	2024 12mths	LTM25 12mths	2025 6mths
Revenue		84,223	96,794	251,485	307,774	444,472	275,408
EBITDA		8,221	9,566	43,190	43,714	68,388	41,936
EBITDA%		*9.8%*	*9.9%*	*17.2%*	*14.2%*	*15.4%*	*15.2%*
EBITDA Normalization							
Non-operating opening rev.	A	(74)	793	(6,305)	(168)	155	41
Meat repurchase agr.	B	–	–	–	–	2,111	2,111
Royalty policy change	C	(561)	210	2,090	2,260	1,541	620
Related party payroll	D	564	306	1,131	2,155	318	210
Non-operating cost	E	381	366	712	676	1,071	748
Logistics eff. (incentive)	F	441	496	1,846	1,042	–	–
Logistics eff. (product)	G	56	86	165	45	–	–
One-off cost	H	731	167	273	758	639	516
Ad exp. – TV	I	601	583	2,352	6,386	2,301	881
Incentive rev.(Lotte)	J	101	87	149	266	296	144
Discontinued operations	K	–	13	102	138	57	7
Covid-19 relief	L	893	43	–	–	–	–
Subtotal		3,133	3,151	2,514	13,556	8,489	5,277
Revenue Normalization							
Non-operating opening rev.	A	(77)	(2,160)	(35,381)	(1,777)	(438)	–
Meat repurchase agr.	B	–	–	–	–	(9,243)	(9,243)
Royalty policy change	C	(561)	210	2,090	2,260	1,541	620
Logistics eff. (incentive)	F	3,342	3,619	14,519	8,298	–	–
Logistics eff. (product)	G	56	86	165	45	–	–
Incentive rev.(Lotte)	J	101	87	149	266	296	144
Discontinued operations	K	–	–	(13)	(71)	(10)	–
Year-end adj. for ad rev.	M	–	–	–	–	891	(56)
Subtotal		2,861	1,842	(18,471)	9,021	(6,964)	(8,535)
Adj. Revenue		87,084	98,636	233,014	316,794	437,508	266,873
Adj. EBITDA		11,354	12,717	45,704	57,270	76,877	47,213
Adj. EBITDA%		*13.0%*	*12.9%*	*19.6%*	*18.1%*	*17.6%*	*17.7%*
Other Consideration							
FX exposure	N	(7,598)	(3,410)	(3,946)	(1,662)	–	639

Source: KPMG analysis

Normalization(Cont')

B. Raw meat repurchase agreement: The Company verbally agreed to repurchase raw meat sold to Singsong Industrial and Nongshim Taekyung. Although recorded as ordinary merchandise sales, the transaction was in substance a financing arrangement secured by the raw meat sold. Accordingly, related rev. and EBITDA were adjusted.

Meat repurchase agreement

KRWm	2021 12mths	2022 12mths	2023 12mths	2024 12mths	LTM25 12mths	2025 6mths
Merchandise rev.	–	–	–	–	(9,243)	(9,243)
Merchandise cost	–	–	–	–	(11,354)	(11,354)
EBITDA impact	–	–	–	–	2,111	2,111

Source: Company information

C. Royalty policy change : For MJG royalty income, the standard franchise agreement was amended on Dec 19, 2024 (royalty rate revised from 2.8% to 10.5%). However, according to the Company, royalties have been collected based on special terms specifying separate rates. As of the review date, the effective royalty terms were as follows
- Existing franchisees – KRW 0.45m / new franchisees – KRW 0.45m per month for the first year, 1% of sales for the following two years, and 2.8% thereafter.
- The Company plans to apply a fixed-rate royalty policy, with new and renewed contracts already reflecting these terms. Accordingly, historical royalty revenue was adjusted using a 1.0% fixed rate.

Royalty policy change

KRWm	2021 12mths	2022 12mths	2023 12mths	2024 12mths	LTM25 12mths	2025 6mths
Domestic franchise rev.	214,725	252,182	467,894	540,432	465,717	212,001
Royalty-Dom. (Actual)(A)	2,708	2,312	2,589	3,145	3,116	1,500
Royalty-Dom. (Proforma)(B)						
Target royalty 1.0%	2,147	2,522	4,679	5,404	4,657	2,120
Target royalty 2.0%	6,012	7,061	13,101	15,132	13,040	5,936
Rev. and EBITDA impact (B-A)						
Target royalty 1.0%	(561)	210	2,090	2,260	1,541	620
Target royalty 2.0%	3,304	4,749	10,512	11,987	9,924	4,436

Source: Company information

[Proforma] Quality of Earnings – Normalize Adjustments (3/7)

Payroll for the chairman, founder, and related parties, as well as other non-operating cost, were treated as costs expected to be discontinued and adjusted accordingly.

[Proforma] Quality of Earnings

KRWm	Ref	2021 12mths	2022 12mths	2023 12mths	2024 12mths	LTM25 12mths	2025 6mths
Revenue		84,223	96,794	251,485	307,774	444,472	275,408
EBITDA		8,221	9,566	43,190	43,714	68,388	41,936
EBITDA%		*9.8%*	*9.9%*	*17.2%*	*14.2%*	*15.4%*	*15.2%*
EBITDA Normalization							
Non-operating opening rev.	A	(74)	793	(6,305)	(168)	155	41
Meat repurchase agr.	B	–	–	–	–	2,111	2,111
Royalty policy change	C	(561)	210	2,090	2,260	1,541	620
Related party payroll	D	564	306	1,131	2,155	318	210
Non-operating cost	E	381	366	712	676	1,071	748
Logistics eff. (incentive)	F	441	496	1,846	1,042	–	–
Logistics eff. (product)	G	56	86	165	45	–	–
One-off cost	H	731	167	273	758	639	516
Ad exp. – TV	I	601	583	2,352	6,386	2,301	881
Incentive rev.(Lotte)	J	101	87	149	266	296	144
Discontinued operations	K	–	13	102	138	57	7
Covid-19 relief	L	893	43	–	–	–	–
Subtotal		3,133	3,151	2,514	13,556	8,489	5,277
Revenue Normalization							
Non-operating opening rev.	A	(77)	(2,160)	(35,381)	(1,777)	(438)	–
Meat repurchase agr.	B	–	–	–	–	(9,243)	(9,243)
Royalty policy change	C	(561)	210	2,090	2,260	1,541	620
Logistics eff. (incentive)	F	3,342	3,619	14,519	8,298	–	–
Logistics eff. (product)	G	56	86	165	45	–	–
Incentive rev.(Lotte)	J	101	87	149	266	296	144
Discontinued operations	K	–	–	(13)	(71)	(10)	–
Year-end adj. for ad rev.	M	–	–	–	–	891	(56)
Subtotal		2,861	1,842	(18,471)	9,021	(6,964)	(8,535)
Adj. Revenue		87,084	98,636	233,014	316,794	437,508	266,873
Adj. EBITDA		11,354	12,717	45,704	57,270	76,877	47,213
Adj. EBITDA%		*13.0%*	*12.9%*	*19.6%*	*18.1%*	*17.6%*	*17.7%*
Other Consideration							
FX exposure	N	(7,598)	(3,410)	(3,946)	(1,662)	–	639

Source: KPMG analysis

Normalization(Cont')

D. Related party payroll : Payroll for the chairman (LJK), founder (DSA), and related parties was added back, as these costs are expected to be discontinued going forward.

Related party payroll (Chairman, founder, and related parties)

KRWm	2021 12mths	2022 12mths	2023 12mths	2024 12mths	LTM25 12mths	2025 6mths
LJK	249	–	760	1,446	104	98
KHJ	214	195	261	486	6	–
DSA	101	111	110	114	108	59
YJS	–	–	–	49	11	–
LJW	–	–	–	45	50	29
LJW	–	–	–	15	39	25
EBITDA impact	564	306	1,131	2,155	318	210

Source: Company information

E. Non-operating cost : Adjustments were made for costs related to the chairman and related parties, non-business accommodation and vehicle expenses, and non-business entertainment expenses.

– Jeong International is operated by the husband of the chairman's wife's sister. The Company paid ad. fees to Jeong International, which were adjusted as cost expected to be discontinued.

Non-operating cost

KRWm	2021 12mths	2022 12mths	2023 12mths	2024 12mths	LTM25 12mths	2025 6mths
Cost to related parties	334	297	366	438	881	648
Payroll for executive office	84	84	84	84	107	68
Other related cost	2	45	140	228	371	266
Service fee – Jeong International	248	168	142	126	403	313
Other non-operating cost	47	69	346	237	190	100
Accomodation	–	–	3	14	15	8
Vehicle	47	58	184	166	164	92
Entertainment	–	11	159	57	11	–
EBITDA impact	381	366	712	676	1,071	748

Source: Company information

[Proforma] Quality of Earnings – Normalize Adjustments (4/7)

The impact on historical earnings from logistics internalization following the establishment of MZ in Apr 2024 was reflected as an adjustment.

[Proforma] Quality of Earnings

KRWm	Ref	2021 12mths	2022 12mths	2023 12mths	2024 12mths	LTM25 12mths	2025 6mths
Revenue		84,223	96,794	251,485	307,774	444,472	275,408
EBITDA		8,221	9,566	43,190	43,714	68,388	41,936
EBITDA%		*9.8%*	*9.9%*	*17.2%*	*14.2%*	*15.4%*	*15.2%*
EBITDA Normalization							
Non-operating opening rev.	A	(74)	793	(6,305)	(168)	155	41
Meat repurchase agr.	B	–	–	–	–	2,111	2,111
Royalty policy change	C	(561)	210	2,090	2,260	1,541	620
Related party payroll	D	564	306	1,131	2,155	318	210
Non-operating cost	E	381	366	712	676	1,071	748
Logistics eff. (incentive)	F	441	496	1,846	1,042	–	–
Logistics eff. (product)	G	56	86	165	45	–	–
One-off cost	H	731	167	273	758	639	516
Ad exp. - TV	I	601	583	2,352	6,386	2,301	881
Incentive rev.(Lotte)	J	101	87	149	266	296	144
Discontinued operations	K	–	13	102	138	57	7
Covid-19 relief	L	893	43	–	–	–	–
Subtotal		3,133	3,151	2,514	13,556	8,489	5,277
Revenue Normalization							
Non-operating opening rev.	A	(77)	(2,160)	(35,381)	(1,777)	(438)	–
Meat repurchase agr.	B	–	–	–	–	(9,243)	(9,243)
Royalty policy change	C	(561)	210	2,090	2,260	1,541	620
Logistics eff. (incentive)	F	3,342	3,619	14,519	8,298	–	–
Logistics eff. (product)	G	56	86	165	45	–	–
Incentive rev.(Lotte)	J	101	87	149	266	296	144
Discontinued operations	K	–	–	(13)	(71)	(10)	–
Year-end adj. for ad rev.	M	–	–	–	–	891	(56)
Subtotal		2,861	1,842	(18,471)	9,021	(6,964)	(8,535)
Adj. Revenue		87,084	98,636	233,014	316,794	437,508	266,873
Adj. EBITDA		11,354	12,717	45,704	57,270	76,877	47,213
Adj. EBITDA%		*13.0%*	*12.9%*	*19.6%*	*18.1%*	*17.6%*	*17.7%*
Other Consideration							
FX exposure	N	(7,598)	(3,410)	(3,946)	(1,662)	–	639

Source: KPMG analysis

Normalization(Cont')

F. Logistics internalization effect – Incentive : Following MZ's establishment, logistics were internalized, and margins of third-party logistics providers were consolidated. Revenue and EBITDA for prior periods were adjusted based on profit differences per KRW 1 of orders before and after the establishment.

Logistics internalization effect (Incentive)

KRWm	2021 12mths	2022 12mths	2023 12mths	2024[1] 12mths	LTM25 12mths	2025 6mths
[A] 3PL Merchandise rev.	4,882	5,492	20,444	11,580	–	–
[B] Incentive rev.	1,540	1,873	5,925	3,282	–	–
[A] – [B] Revenue impact	3,342	3,619	14,519	8,298	–	–
[C] EBITDA incr./KRW 1 order	0.09				–	–
[A] x [C] EBITDA impact	441	496	1,846	1,042	–	–

Source: Company Information

G. Logistics internalization effect – Product : Naengmyeon sauce previously supplied to franchisees via a 3PL at wholesale prices was recognized on a gross basis after logistics internalization, and the difference was adjusted.

Logistics internalization effect (Product)

KRWm	2021 12mths	2022 12mths	2023 12mths	2024[1] 12mths	LTM25 12mths	2025 6mths
[As-is] Product revenue	501	631	625	354	–	–
[To-be] Product revenue	557	717	790	399	–	–
Line Logistics	–	–	485	399	–	–
Han Express	557	717	305	–	–	–
PIC Foodway	–	–	–	–	–	–
Revenue & EBITDA impact	56	86	165	45	–	–

Nore: [1] Pre-internalization period: Jan-May 2024

Strictly Private & Confidential

[Proforma] Quality of Earnings – Normalize Adjustments (5/7)

Adjustments were made for one-off costs such as legal, tax, and consulting fees, non-recurring advertising expenses, and profit impacts related to incentive revenue recorded as non-operating.

[Proforma] Quality of Earnings

KRWm	Ref	2021 12mths	2022 12mths	2023 12mths	2024 12mths	LTM25 12mths	2025 6mths
Revenue		84,223	96,794	251,485	307,774	444,472	275,408
EBITDA		8,221	9,566	43,190	43,714	68,388	41,936
EBITDA%		*9.8%*	*9.9%*	*17.2%*	*14.2%*	*15.4%*	*15.2%*
EBITDA Normalization							
Non-operating opening rev.	A	(74)	793	(6,305)	(168)	155	41
Meat repurchase agr.	B	–	–	–	–	2,111	2,111
Royalty policy change	C	(561)	210	2,090	2,260	1,541	620
Related party payroll	D	564	306	1,131	2,155	318	210
Non-operating cost	E	381	366	712	676	1,071	748
Logistics eff. (incentive)	F	441	496	1,846	1,042	–	–
Logistics eff. (product)	G	56	86	165	45	–	–
One-off cost	H	731	167	273	758	639	516
Ad exp. – TV	I	601	583	2,352	6,386	2,301	881
Incentive rev.(Lotte)	J	101	87	149	266	296	144
Discontinued operations	K	–	13	102	138	57	7
Covid-19 relief	L	893	43	–	–	–	–
Subtotal		3,133	3,151	2,514	13,556	8,489	5,277
Revenue Normalization							
Non-operating opening rev.	A	(77)	(2,160)	(35,381)	(1,777)	(438)	–
Meat repurchase agr.	B	–	–	–	–	(9,243)	(9,243)
Royalty policy change	C	(561)	210	2,090	2,260	1,541	620
Logistics eff. (incentive)	F	3,342	3,619	14,519	8,298	–	–
Logistics eff. (product)	G	56	86	165	45	–	–
Incentive rev.(Lotte)	J	101	87	149	266	296	144
Discontinued operations	K	–	–	(13)	(71)	(10)	–
Year-end adj. for ad rev.	M	–	–	–	–	891	(56)
Subtotal		2,861	1,842	(18,471)	9,021	(6,964)	(8,535)
Adj. Revenue		87,084	98,636	233,014	316,794	437,508	266,873
Adj. EBITDA		11,354	12,717	45,704	57,270	76,877	47,213
Adj. EBITDA%		*13.0%*	*12.9%*	*19.6%*	*18.1%*	*17.6%*	*17.7%*
Other Consideration							
FX exposure	N	(7,598)	(3,410)	(3,946)	(1,662)	–	639

Source: KPMG analysis

Normalization(Cont')

H. One-off cost : One-off legal, tax, and consulting fees were adjusted, excluding recurring bookkeeping and audit fees. Tax audit costs were separately adjusted. Fees paid to Seonggongdaero for a failed brand launch were removed, along with one-off advertising and website renewal costs.

One-off cost

KRWm	2021 12mths	2022 12mths	2023 12mths	2024 12mths	LTM25 12mths	2025 6mths
Advisory fee	138	167	260	314	472	349
Legal	21	45	19	117	203	156
Tax	53	16	15	58	89	89
Consulting	63	106	226	139	180	105
Tax audit	593	–	–	–	77	77
Advisory fee	31	–	–	–	77	77
Tax audit payable	562	–	–	–	–	–
Seonggongdaero comm. exp.	–	–	3	444	–	–
Ad exp. & website renewal	–	–	9	–	90	90
EBITDA impact	731	167	273	758	639	516

Source: Company Information

I. Advertising expenses – TV Ad.: Most TV ad was run by MRD, which incurred large-scale spending for the FY23 brand renewal and discontinued such campaigns from FY25. ADF's TV ads, related to the SAD launch, were one-off brand awareness costs and were adjusted as costs expected to be discontinued.

Advertising expenses – TV Ad.

KRWm	2021 12mths	2022 12mths	2023 12mths	2024 12mths	LTM25 12mths	2025 6mths
MRD	601	583	2,352	5,855	908	20
ADF	–	–	–	532	1,393	861
EBITDA impact	601	583	2,352	6,386	2,301	881

Source: Company Information

J. Incentive revenue (Lotte) : Incentives based on beverage/liquor order volumes were recorded as non-operating income, as Lotte did not issue tax invoices. Adjusted to reflect their operating nature.

Strictly Private & Confidential

[Proforma] Quality of Earnings – Normalize Adjustments (6/7)

Adjustments were made for the profit impact related to the discontinued golf academy business and franchisee support costs incurred during the Covid-19 period.

[Proforma] Quality of Earnings

KRWm	Ref	2021 12mths	2022 12mths	2023 12mths	2024 12mths	LTM25 12mths	2025 6mths
Revenue		84,223	96,794	251,485	307,774	444,472	275,408
EBITDA		8,221	9,566	43,190	43,714	68,388	41,936
EBITDA%		*9.8%*	*9.9%*	*17.2%*	*14.2%*	*15.4%*	*15.2%*
EBITDA Normalization							
Non-operating opening rev.	A	(74)	793	(6,305)	(168)	155	41
Meat repurchase agr.	B	–	–	–	–	2,111	2,111
Royalty policy change	C	(561)	210	2,090	2,260	1,541	620
Related party payroll	D	564	306	1,131	2,155	318	210
Non-operating cost	E	381	366	712	676	1,071	748
Logistics eff. (incentive)	F	441	496	1,846	1,042	–	–
Logistics eff. (product)	G	56	86	165	45	–	–
One-off cost	H	731	167	273	758	639	516
Ad exp. - TV	I	601	583	2,352	6,386	2,301	881
Incentive rev.(Lotte)	J	101	87	149	266	296	144
Discontinued operations	K	–	13	102	138	57	7
Covid-19 relief	L	893	43	–	–	–	–
Subtotal		3,133	3,151	2,514	13,556	8,489	5,277
Revenue Normalization							
Non-operating opening rev.	A	(77)	(2,160)	(35,381)	(1,777)	(438)	–
Meat repurchase agr.	B	–	–	–	–	(9,243)	(9,243)
Royalty policy change	C	(561)	210	2,090	2,260	1,541	620
Logistics eff. (incentive)	F	3,342	3,619	14,519	8,298	–	–
Logistics eff. (product)	G	56	86	165	45	–	–
Incentive rev.(Lotte)	J	101	87	149	266	296	144
Discontinued operations	K	–	–	(13)	(71)	(10)	–
Year-end adj. for ad rev.	M	–	–	–	–	891	(56)
Subtotal		2,861	1,842	(18,471)	9,021	(6,964)	(8,535)
Adj. Revenue		87,084	98,636	233,014	316,794	437,508	266,873
Adj. EBITDA		11,354	12,717	45,704	57,270	76,877	47,213
Adj. EBITDA%		*13.0%*	*12.9%*	*19.6%*	*18.1%*	*17.6%*	*17.7%*
Other Consideration							
FX exposure	N	(7,598)	(3,410)	(3,946)	(1,662)	–	639

Source: KPMG analysis

Normalization(Cont')

K. Discontinued operations : The golf academy business was disposed of in Jul 2024 due to low profitability.

Discontinued operations

KRWm	2021 12mths	2022 12mths	2023 12mths	2024 12mths	LTM25 12mths	2025 6mths
Disc. ops. (indoor sports rev.)	–	–	(13)	(71)	(10)	–
Disc. ops.-related exp.	–	13	115	208	67	7
EBITDA impact	–	13	102	138	57	7

Source: Company Information

L. Covid-19 relief: During the Covid-19, the Company provided various support to franchisees, which was adjusted considering its non-recurring.

Covid-19 relief

KRWm	2021 12mths	2022 12mths	2023 12mths	2024 12mths	LTM25 12mths	2025 6mths
Marketing mileage	784	–	–	–	–	–
Franchisee special support	85	–	–	–	–	–
Franchisee A/S support	22	4	–	–	–	–
Sterilizer & thermometer	2	39	–	–	–	–
EBITDA impact	893	43	–	–	–	–

Source: Company Information

- Marketing mileage: Mileage received during FY20-FY21 was refunded to franchisees.
- Franchisee special support: Support costs for disposable masks and related items.
- Franchisee A/S support: Portion of franchisee repair costs borne by the head office to support franchisee retention.
- Sterilizer & thermometer : Support for hand sanitizers, utensil sterilizers, and contactless thermometers.

Strictly Private & Confidential

[Proforma] Quality of Earnings – Normalize Adjustments (7/7)

The raw meat cost of PP is directly affected by USD exchange rates. To eliminate the impact of FX fluctuations during the period, the LTM25 exchange rate was applied.

[Proforma] Quality of Earnings

KRWm	Ref	2021 12mths	2022 12mths	2023 12mths	2024 12mths	LTM25 12mths	2025 6mths
Revenue		84,223	96,794	251,485	307,774	444,472	275,408
EBITDA		8,221	9,566	43,190	43,714	68,388	41,936
EBITDA%		*9.8%*	*9.9%*	*17.2%*	*14.2%*	*15.4%*	*15.2%*
EBITDA Normalization							
Non-operating opening rev.	*A*	(74)	793	(6,305)	(168)	155	41
Meat repurchase agr.	*B*	–	–	–	–	2,111	2,111
Royalty policy change	*C*	(561)	210	2,090	2,260	1,541	620
Related party payroll	*D*	564	306	1,131	2,155	318	210
Non-operating cost	*E*	381	366	712	676	1,071	748
Logistics eff. (incentive)	*F*	441	496	1,846	1,042	–	–
Logistics eff. (product)	*G*	56	86	165	45	–	–
One-off cost	*H*	731	167	273	758	639	516
Ad exp. – TV	*I*	601	583	2,352	6,386	2,301	881
Incentive rev.(Lotte)	*J*	101	87	149	266	296	144
Discontinued operations	*K*	–	13	102	138	57	7
Covid-19 relief	*L*	893	43	–	–	–	–
Subtotal		3,133	3,151	2,514	13,556	8,489	5,277
Revenue Normalization							
Non-operating opening rev.	*A*	(77)	(2,160)	(35,381)	(1,777)	(438)	–
Meat repurchase agr.	*B*	–	–	–	–	(9,243)	(9,243)
Royalty policy change	*C*	(561)	210	2,090	2,260	1,541	620
Logistics eff. (incentive)	*F*	3,342	3,619	14,519	8,298	–	–
Logistics eff. (product)	*G*	56	86	165	45	–	–
Incentive rev.(Lotte)	*J*	101	87	149	266	296	144
Discontinued operations	*K*	–	–	(13)	(71)	(10)	–
Year-end adj. for ad rev.	*M*	–	–	–	–	891	(56)
Subtotal		2,861	1,842	(18,471)	9,021	(6,964)	(8,535)
Adj. Revenue		87,084	98,636	233,014	316,794	437,508	266,873
Adj. EBITDA		11,354	12,717	45,704	57,270	76,877	47,213
Adj. EBITDA%		*13.0%*	*12.9%*	*19.6%*	*18.1%*	*17.6%*	*17.7%*
Other Consideration							
FX exposure	*N*	(7,598)	(3,410)	(3,946)	(1,662)	–	639

Source: KPMG analysis

Normalization(Cont')

M. Year-end adjustment for advertising revenue : Brand advertising revenue received from franchisees and related costs are offset at year-end, but the semiannual financials as of June present them on a gross basis; therefore, an adjustment was made.

Other Consideration

N. FX exposure: Although payments for raw meat supplied through PP are made in KRW, the prices are directly affected by USD exchange rates, as the meat is imported from the U.S. To eliminate FX fluctuations during the period, the LTM25 rate (Jul 2024 – Jun 2025) was applied.

FX exposure

KRWm	2021 12mths	2022 12mths	2023 12mths	2024 12mths	LTM25 12mths	2025 6mths
[A] PP COGS	33,675	39,890	53,114	58,988	63,361	35,743
[B] Avg. FX rate	1,144	1,292	1,305	1,364	1,402	1,428
[C] = [A/B] USD purchase amt.	29	31	41	43	45	25
[D] Applied FX rate	1,402	1,402	1,402	1,402	1,402	1,402
[E]=[C]*[D]	41,273	43,300	57,060	60,650	63,361	35,103
FX effect [A] – [E]	(7,598)	(3,410)	(3,946)	(1,662)	–	639

Source: Company information

✓ If the exchange rate rises by 1.8% (from LTM25 to 1H25 rate), 1H25 EBITDA increases by 0.23%p (KRW 639m / KRW 275,408m).

[Proforma] Quality of Net Assets(1/5)

Adjusted net assets amounted to KRW 125,651m after KRW 16,091m of adjustments, mainly related to unrecognized CIT liabilities, equity-method valuation, and tax audit items, as of June 2025.

[Proforma] Quality of Net Assets

KRWm	Ref	2025 Jun.30
Net assets		141,742
Normalization items		(16,091)
Unrecognized CIT payable	*A*	(14,221)
Tax audit payable	*B*	(2,960)
Tax advisory fee (audit)	*B*	(725)
Investments in equity method	*C*	(327)
MJG Goodwill (owned stores)	*D*	(1,635)
Unrecognized executive retirement benefits	*E*	(1,183)
MRD Allowance for doubtful accounts	*F*	(189)
Recalculation of accumulated depreciation	*G*	(140)
ADF Intangible assets	*G*	(90)
Loan secured by raw meat inventory	*H*	2,100
Reversal of allowance (loan/receivable – affiliates)	*I*	3,280
Adj. Net assets		125,651
Other Consideration		
Investments in equity method_YuJin Farm	*C*	nq

Source: KPMG analysis

❖ *KPMG has identified the following adjustments based on the available information. These adjustments may be subject to change if additional information is provided, and other adjustments may also be introduced.*

Normalization

A. Unrecognized CIT : As the Company did not recognize CIT for 1H25, estimated corporate tax payable was calculated as follows.

Income taxes payable

KRWm	MRD	ADF	PP	MZ	Total
Estimated CIT	3,215	10,739	–	266	14,221

Source: KPMG analysis

Note : For MRD/PP/MZ, CIT payable was based on tax-adjusted income under the Inheritance and Gift Tax Act, while for ADF, it was calculated using progressive tax rates on pre-tax income.

B. Tax audit payable & Tax advisory fee related to tax audit : The Company was audited for FY20–FY24 from May to Aug 2025 and received the final assessment notice in Sep 2025, confirming the tax payable. As the liability had already arisen as of Jun 2025, net assets were adjusted downward. Unpaid service fees to the tax advisor as of the same date were also adjusted.

C. Investments in equity method : The Company accounts for its subsidiaries under the equity method; however, the equity method valuation was not reflected as of Jun 2025.

- **Normalization :** Equity method valuation, as of Jun 2025.
- **Other consideration : Yujin farm**(BV KRW 7,153m) recorded no sales during the period and requires discussion for repurchase by the seller upon transaction closing.

Investments in equity method as of June 2025

KRWm	Shareholding(%)	As-is	To-be	Diff.
Yujin Farm	*90%*	7,153	7,082	(71)
MRD China	*100%*	1,793	1,458	(335)
MRD America[1]	*100%*	344	344	–
Myeongryunbreurolee	*50%*	162	240	78
Total		9,451	9,124	(327)

Source : Company information

Note : [1] MRD America was established in 2024, and as the financial statements as of Aug 10, 2024, are the latest available, no separate adjustments were made.

[Proforma] Quality of Net Assets(2/5)

As most MJG owned stores operated by MRD are loss-making or at breakeven, there is a high likelihood of goodwill impairment in the future, which has been reflected as a net asset adjustment.

[Proforma] Quality of Net Assets

KRWm	Ref	2025 Jun.30
Net assets		141,742
Normalization items		(16,091)
Unrecognized CIT payable	*A*	(14,221)
Tax audit payable	*B*	(2,960)
Tax advisory fee (audit)	*B*	(725)
Investments in equity method	*C*	(327)
MJG Goodwill (owned stores)	*D*	(1,635)
Unrecognized executive retirement benefits	*E*	(1,183)
MRD Allowance for doubtful accounts	*F*	(189)
Recalculation of accumulated depreciation	*G*	(140)
ADF Intangible assets	*G*	(90)
Loan secured by raw meat inventory	*H*	2,100
Reversal of allowance (loan/receivable – affiliates)	*I*	3,280
Adj. Net assets		125,651
Other Consideration		
Investments in equity method_YuJin Farm	*C*	nq

Source : KPMG Analysis

Normalization(Cont')

D. MJG Goodwill – Owned stores : As most MJG owned stores run by MRD are loss-making or at breakeven, the likelihood of recovering goodwill is low; therefore, reflected as a net asset reduction adjustment.

MJG Goodwill (owned stores)

KRWm	2025 Jun.30
Paju Yadang Branch	342
Daejeon Jungchon Branch	291
Seoul Gugi Branch	259
Pyeongnae-Hopyeong Branch	230
Suwon Gwanggyo Branch	159
Daejeon Oryu Branch	146
Seoul Mangwoo Branch	69
Eumseong Geumwang Branch	57
Seoul Mokdong Station Branch	47
Yongin Gwanggyo-Sanghyeon Station Branch	37
Total	1,635

Source : Company information

[Proforma] Quality of Net Assets(3/5)

Unrecognized executive retirement benefits amounted to KRW 1,183 million and are expected to decrease after amendment of the executive severance policy and confirmation that full payment to the former CEO before closing.

[Proforma] Quality of Net Assets

KRWm	Ref	2025 Jun.30
Net assets		141,742
Normalization items		(16,091)
Unrecognized CIT payable	A	(14,221)
Tax audit payable	B	(2,960)
Tax advisory fee (audit)	B	(725)
Investments in equity method	C	(327)
MJG Goodwill (owned stores)	D	(1,635)
Unrecognized executive retirement benefits	E	(1,183)
MRD Allowance for doubtful accounts	F	(189)
Recalculation of accumulated depreciation	G	(140)
ADF Intangible assets	G	(90)
Loan secured by raw meat inventory	H	2,100
Reversal of allowance (loan/receivable – affiliates)	I	3,280
Adj. Net assets		125,651
Other Consideration		
Investments in equity method_YuJin Farm	C	nq

Source : KPMG Analysis

Executive Severance Payment Multiples (Not applicable to ADF and MZ)

	MRD	PP
Target	CEO/Vice CEO	CEO/Vice CEO
Multiplier	3x	5x
Formula	Total salary for the year prior to ret.× 1/10× multiplier × years of service	
Years	Less than 6mths → count as 6mths; 6mths or more → count as 1yr.	

Source : Company information

Normalization(Cont')

E. Unrecognized executive retirement benefits: MRD and PP have severance multiples, while the Company contributes 1/12 of annual salary to a DC plan for executives each year.

- **Estimated additional liability:** KRW 986m for unpaid retirement obligations under the existing multiple rule.
- Ex-CEO severance rule not applied: Former MRD CEO KHJ temporarily resigned in Dec 2022 without receiving severance under the executive retirement policy.
- Although KHJ was not a registered director, the policy defines "representative" broadly to include non-registered executives; therefore, an additional liability equal to a 2x multiple was recognized.
- Consider revising MRD/PP executive severance policy (apply 1× multiple, 1/12 of total salary) with the seller and reflect in the SPA
- Consider obtaining confirmation of severance payment for KHJ

Unrecognized executive retirement benefits as of June 2025

KRWm		Start Date	Ref. Date	Yrs	Annual Salary	multiple	Severance	Paid amt.	Add'l liab.
Unrecognized severance liability for CEO									
MRD	LJK	Oct-20	Jun-26	6.0	6	3	11	24	-
MRD	DSA	Jun-12	Jun-26	14.0	100	3	420	65	356
ADF	JJH	Mar-24	Jun-26	2.5	275	1	69	18	51
PP	LJH	Jan-20	Jun-26	6.5	210	5	683	151	532
MZ	LJH	Apr-24	Jun-26	2.5	190	1	47	-	47
Subtotal							1,231	258	986
Severance liability for ex-CEO due to non-applied multiple									
MRD	KHJ	May-18	Dec-22	5.0	197	3	296	99	197
Total									1,183

Source: Company information

Note [1] Former CEO KHJ received severance under a DC plan. The paid amt. in the table represents the estimated 1× multiple under the executive severance policy and differs from the actual payment.

[Proforma] Quality of Net Assets(4/5)

Following the mid-year closing as of June 2025, missing closing adjustments were identified and recorded, including KRW 189 million of allowance for doubtful accounts and recalculation of depreciation/amortization, resulting in reductions of KRW 140 million in PP&E and KRW 90 million in intangible assets.

[Proforma] Quality of Net Assets

KRWm	Ref	2025 Jun.30
Net assets		141,742
Normalization items		(16,091)
Unrecognized CIT payable	A	(14,221)
Tax audit payable	B	(2,960)
Tax advisory fee (audit)	B	(725)
Investments in equity method	C	(327)
MJG Goodwill (owned stores)	D	(1,635)
Unrecognized executive retirement benefits	E	(1,183)
MRD Allowance for doubtful accounts	F	(189)
Recalculation of accumulated depreciation	G	(140)
ADF Intangible assets	G	(90)
Loan secured by raw meat inventory	H	2,100
Reversal of allowance (loan/receivable – affiliates)	I	3,280
Adj. Net assets		125,651
Other Consideration		
Investments in equity method_YuJin Farm	C	nq

Source : KPMG Analysis

Normalization(Cont')

F. MRD Allowance for doubtful accounts on AR : The Company's FS as of Jun 2025 did not reflect ADA adjustments; therefore, additional ADA was recognized based on MRD AR aging analysis.

- MRD applies both collective and individual assessments for ADA. Collective rates are shown below, while individual assessments apply full write-offs for receivables from closed franchisees.

Collective ADA rate

Aging	Rate(%)
~ 3mths	1%
3-6mths	10%
6-9mths	50%
9-12mths	75%
12mths~	100%

Source : Company information

- Neither ADF nor MZ has set up a ADA. As of Jun 2025, all receivables from Dec 2024 were collected for ADF, while MZ had an outstanding balance of KRW 21m (ADA to be added based on aging).
- For PP, all receivables as of Jun 2025 are from processors that pay PP after receiving payments from MRD, so no ADA was recognized.

G. Recalculation of accumulated depreciation & ADF Intangible assets : As of Jun 2025, accumulated depreciation for tangible and intangible assets was understated, requiring a net asset reduction.

- Depreciation for certain MRD facilities and goodwill was not recorded from the commencement date, resulting in omitted depreciation for the initial acquisition year.
- ADF's D&A for 1H25 were understated and adjusted accordingly.

[Proforma] Quality of Net Assets(5/5)

The raw-meat collateral loan represents a substantive borrowing, increasing net assets by KRW 2,100m through reversal of previously recognized losses. The ADA on loans and related accrued income was also reversed, as these balances are expected to be collected in connection with the transaction.

[Proforma] Quality of Net Assets

KRWm	Ref	2025 Jun.30
Net assets		141,742
Normalization items		(16,091)
Unrecognized CIT payable	*A*	(14,221)
Tax audit payable	*B*	(2,960)
Tax advisory fee (audit)	*B*	(725)
Investments in equity method	*C*	(327)
MJG Goodwill (owned stores)	*D*	(1,635)
Unrecognized executive retirement benefits	*E*	(1,183)
MRD Allowance for doubtful accounts	*F*	(189)
Recalculation of accumulated depreciation	*G*	(140)
ADF Intangible assets	*G*	(90)
Loan secured by raw meat inventory	*H*	2,100
Reversal of allowance (loan/receivable – affiliates)	*I*	3,280
Adj. Net assets		125,651
Other Consideration		
Investments in equity method_YuJin Farm	*C*	nq

Source : KPMG Analysis

Normalization(Cont')

H. Loan secured by raw meat inventory : PP entered into repurchase agreements with Nongshim Taekyung and Singsong Industrial during May–Jun 2025 and conducted raw meat sales transactions. As a result, rev. and COGS were overstated, while borrowings and inventory were understated, requiring adjustment.
   - According to the Company, no written contracts exist; the transactions were verbally agreed upon based on personal relationships between the representatives. As of the review date, all repurchases were completed.
   - Initial borrowing under the raw meat-secured loan was KRW 9,243m; repurchased inventory amounted to KRW 11,354m, with total interest paid upon repayment of KRW 220m.
   - As of Jun 2025, after partial repayment in Jun, borrowings stood at KRW 8,351m and related inventory at KRW 10,451m, resulting in a KRW 2,100m increase in net assets.
   - Average repurchase period: approx. 3 mths; ann. discount rate:9.5%.

Loan secured by raw meat inventory

KRWm	2025 6mths	2025년 Jun.30
Related inventory	11,354	10,451
Borrowings	(9,243)	(8,351)
Net assets	2,111	2,100

Source : Company information

I. Reversal of ADA on loans to lending companies and affiliates : MRD reviews the financial status of lending companies to determine ADA rates for loans and applies the same rates to accrued interest.
   - Since these loans and accrued income are expected to be recovered under this transaction, the related ADA was reversed.
   - ADA on franchisee loans within MRD was excluded from the reversal.

[Proforma] Net Debt Analysis (1/2)

After adjustments, net debt shifted to net cash of (-)KRW 16,125m, mainly reflecting non-op. assets. Loan-type advances were treated as DLIs, while lending receivables and accrued interest were treated as cash-like items.

[Proforma] Net debt as of June 2025

KRWm	MRD	ADF	MZ	PP	Total
Borrowings(A)	111,680	17,304	-	1,100	130,084
Cash and cash equivalents(B)	8,949	4,501	9,396	5,662	28,508
Net Debt(C=A-B), Reported	102,731	12,803	(9,396)	(4,562)	101,577
Debt-like items(D)	10,504	11,372	285	8,735	30,896
Loan secured by meat inventory	-	-	-	8,351	8,351
Franchisee withholdings	4,579	233	20	48	4,880
CIT payables	2,444	10,739	265	-	13,449
QoA - CIT payables	*3,215*	*10,739*	*-*	*266*	*14,221*
Prepaid CIT	*(771)*	*-*	*-*	*(1)*	*(772)*
Tax audit payable	2,672	138	-	151	2,960
Tax advisory fee (audit)	355	185	-	185	725
Accrued interest payables	454	77	-	-	530
Cash-like items in WC(E)	3,372	-	-	12	3,384
Accrued interest receivables	3,363	-	-	12	3,375
O/R & Adv. payments to lending cos.	9	-	-	-	9
Non-operating assets(F)	137,535	13	-	7,666	145,213
Cheonho-dong land	22,074	-	-	-	22,074
Cheonan land & building	6,532	-	-	-	6,532
Investment property (officetel)	123	-	-	-	123
Non-operating vehicles & deposits	1,086	-	-	-	1,086
Other deposits - Chambadaro Susan	1,000	-	-	-	1,000
Loans	97,875	13	-	3,995	101,883
Investments	8,845	-	-	3,671	12,516
Net Debt(C+D-E-F), Adjusted	(27,672)	24,162	(9,110)	(3,505)	(16,125)

Source : Company information, KPMG Analysis

Debt-like items

- Loan secured by meat inventory : PP conducts raw meat sales to Nongshim Taekyung and Shinsong Industry under repurchase terms for funding purposes. Although the substance is a borrowing, it is recorded as sales and thus treated as DLI.
  - The initial loan was KRW 9,243m, with an outstanding balance of KRW 8,351m as of Jun 2025. The Company fully repaid the balance after Jun 2025.
  - According to the Company, the avg. repurchase period is 3mths, with a 9.5% annual discount rate. Total interest exp. was KRW 220m.
- Franchisee withholdings : Franchisee deposits consist of the following three items, all classified as DLI.
  - Franchisee promotion funds: The Company withholds 1% of merchandise payments from franchisees as promotional reserves and offsets actual promotion costs against this balance.
  - Franchisee gift vouchers: Payables for mobile gift vouchers to be paid to franchisees, representing definite obligations of the acquirer.
  - Lending cos. interest: The Company collects a portion of merchandise payments from franchisees as interest for lending cos. and remits it to them.
- CIT payables : As unpaid CIT as of Jun 2025 was not reflected, the estimated unpaid amt., net of prepaid CIT, was treated as a DLI.
- Tax audit payable & Tax advisory fee (audit) : The Company underwent a tax audit from May to Aug 2025 and received the report in Sep 2025, with payment due Oct 2025. The estimated tax payable and unpaid tax advisory fees as of Jun 2025 were treated as DLIs.
- **Accrued interest payables** : Accr. interest on borrowings treated as DLI.

Cash-like items

- Accrued interest receivables : Accrued interest from lending, affiliates, and deposits (gross amount).
- O/R & Adv. payments to lending cos : Considered for settlement under the SPA

[Proforma] Net Debt Analysis (2/2)

NOA amounted to KRW 145,213m, comprising loans, unused land and buildings, as of June 2025. Loans to lending companies are expected to be settled before closing.

[Proforma] Net debt as of June 2025

KRWm	MRD	ADF	MZ	PP	Total
Borrowings(A)	111,680	17,304	-	1,100	130,084
Cash and cash equivalents(B)	8,949	4,501	9,396	5,662	28,508
Net Debt(C=A-B), Reported	102,731	12,803	(9,396)	(4,562)	101,577
Debt-like items(D)	10,504	11,372	285	8,735	30,896
Loan secured by meat inventory	-	-	-	8,351	8,351
Franchisee withholdings	4,579	233	20	48	4,880
CIT payables	2,444	10,739	265	-	13,449
Tax audit payable	2,672	138	-	151	2,960
Tax advisory fee (audit)	355	185	-	185	725
Accrued interest payables	454	77	-	-	530
Cash-like items in WC(E)	3,372	-	-	12	3,384
Accrued interest receivables	3,363	-	-	12	3,375
O/R & Adv. payments to lending cos.	9	-	-	-	9
Non-operating assets(F)	137,535	13	-	7,666	145,213
Cheonho-dong land	22,074	-	-	-	22,074
Cheonan land & building	6,532	-	-	-	6,532
Investment property (officetel)	123	-	-	-	123
Non-operating vehicles & deposits	1,086	-	-	-	1,086
Other deposits - Chambadaro Susan	1,000	-	-	-	1,000
Loans[1]	97,875	13	-	3,995	101,883
Investments	8,845	-	-	3,671	12,516
Net Debt(C+D-E-F), Adjusted	(27,672)	24,162	(9,110)	(3,505)	(16,125)

Source : Company information, KPMG Analysis
Note : [1] Franchise loan for Cheongju Bokdae branch reflected net of ADA.

- **Cheonho-dong Land:** Acquired for planned HQ relocation but unused.
- **Cheonan Land & Building:** Purchased to operate the SAD owned business in Cheonan; however, operations have ceased and the property remains unused.
- **Investment property :** "Lagoon in Terrace" office-residential building ("officetel") under construction, currently without a defined use and unrelated to operations.
- **Non-operating vehicles & deposits:** Includes Rolls-Royce (acquisition KRW 1,070m / book KRW 874m), Porsche (KRW 356m / KRW 117m), and related parking/vehicle deposits of KRW 94m; Purchased for event use but rarely used.
- **Other deposits – Chambadaro Susan:** Paid for a clam farming business that has since been discontinued; management expects full recovery.
- **Loans:** Consist of loans to lending cos. (KRW 95,609m), related parties, franchisees, affiliates, and investment in raw meat importer MSF.
  - All loans to lending cos. are expected to be settled in cash after the transaction. As most MRD loans relate to lending cos., they are reflected at gross book value[1]; PP loans, primarily to franchisees, are shown net of allowance. Loans to related parties, franchisees, and affiliates are deemed non-operating and included in NOA.
- **Investments:** Include investments in equity-method(KRW 7,315m), LT financial instr.(KRW 4,863m), and housing bonds(KRW 338m). The life insurance under MRD(insured: DSA) requires cancellation, and the housing bond for Cheonho-dong land is deemed unnecessary upon sale.

Investments as of June 2025

KRWm	Balance
Investments in equity method	7,315
Yujin Farm	7,153
Myeongryunbreurolee	157
Tantandaero	5
Long-term financial instruments	4,863
Time & savings deposits	3,872
Savings-type life insurance	992
Available-for-sale securities	338
National housing bonds	338
Total	12,516

[Proforma] Net Debt as of September 2025

As of September 2025, Net debt was KRW (–)14,410m, up KRW 1,716m from June 2025, mainly due to accrued CIT on quarterly profit. Tax audit-related payables and the raw meat loan were fully settled thereafter.

[Proforma] Net debt as of September 2025

KRWm	MRD	ADF	MZ	PP	합계
Borrowings(A)	95,855	40,164	–	2,100	138,119
Cash and cash equivalent(B)	9,622	4,325	8,238	1,938	24,124
Net Debt(C=A-B), Reported	86,233	35,838	(8,238)	162	113,995
Debt-like items(D)	4,861	12,888	1,625	55	19,429
Loan secured by meat inventory	–	–	–	–	–
Franchise withholdings	4,121	101	29	55	4,306
CIP payables	277	12,781	1,596	–	14,654
QoA – CIT payables	*2,792*	*13,273*	*1,771*	*560*	*18,397*
Prepaid CIT	*(2,516)*	*(492)*	*(174)*	*(560)*	*(3,743)*
Tax audit payable	–	–	–	–	–
Tax advisory fee (audit)	–	–	–	–	–
Accrued interest payables	463	7	–	–	470
Cash-like items in WC(E)	3,355	–	–	93	3,448
Accrued interest receivables	3,345	–	–	93	3,438
O/R & Adv. payments to lending cos.	10	–	–	–	10
Non-operating assets(F)	131,148	7,062	–	6,177	144,387
Cheonho-dong land	22,074	–	–	–	22,074
Cheonan land & building	6,513	–	–	–	6,513
Investment property (officetel)	492	–	–	–	492
Non-operating vehicles & deposits	1,015	–	–	–	1,015
Other deposits – Chambadaro Susan	1,000	–	–	–	1,000
Loans	89,475	13	–	5,062	94,550
Investments	10,579	7,049	–	1,114	18,743
Net Debt(C+D-E-F), Adjusted	(43,409)	41,664	(6,612)	(6,053)	(14,410)

Source: Company information

Net Debt as of September 2025

- Borrowings, Loans: Amount after consolidation adjustments reflecting MZ's loans to MRD (KRW 18,000m) and PP (KRW 4,000m).
- Cash and cash equivalent : Aggregate balance.
- Loan secured by meat inventory : Fully repaid before end-Sep 2025.
- Franchise withholdings: Aggregate balance of withholdings
- CIP payables : Recalculated based on accounting profit for MRD, ADF, and MZ over the 9-month period of FY25. Although PP recorded a pre-tax accounting loss for the same period, its prepaid tax of KRW 560m as of end-Sep 2025 includes an interim tax payment of KRW 557m, which was therefore reflected as CIT payable.
- Tax audit payable : Fully paid in Sep 2025.
- Accrued interest payables/receivables: Aggregated after elimination of consolidation adjustments.
- Cheonho-dong land & Other deposits – Chambadaro Susan : No change since end-Jun 2025.
- Cheonan land & building : Additional building depreciation recognized after Jun 2025.
- Investment property (officetel): Additional progress payment reflected after Jun 2025.
- Non-operating vehicles & deposits : Additional non-operating vehicles depreciation recognized after Jun 2025.
- Loans : Aggregated after consolidation adjustments. Calculated on the same basis as Net Debt as of Jun 2025—reflected at gross amount before allowance for MRD, net of allowance for PP, and with no allowance recognized for ADF and MZ.
- Investments : Balance of investments in equity-method, LT financial instruments, and available-for-sale securities, excluding investments in equity-method investments in MRD China and MRD America with low disposability as of Jun 2025.

[Proforma] Profit & Loss Overview (1/3)

Driven by new franchisees inflow post-Endemic and ADF's 2023 launch of SAD, revenue grew at a 51.6% CAGR (LTM25), with LTM25 EBITDA of KRW 68,388m(15.4%) and 1H25 EBITDA of KRW 41,936m(15.2%).

[Proforma] Profit & Loss

KRWm	2021 12mths	2022 12mths	2023 12mths	2024 12mths	LTM25 12mths	2025 6mths
Revenue	84,223	96,794	251,485	307,774	444,472	275,408
Merchandise	77,288	85,019	156,853	230,920	345,054	213,388
Product	1,072	1,011	2,642	2,429	1,545	656
Incentive	1,728	2,190	6,239	5,878	1,079	414
Royalty	2,757	2,474	2,824	5,016	7,463	4,450
Opening	1,309	5,923	82,340	62,451	88,462	55,355
Others	69	178	587	1,079	868	1,144
Variable COGS	55,386	64,304	159,989	190,388	267,405	161,107
Merchandise/Opening	54,732	63,796	158,734	189,447	266,834	160,777
Product	654	508	1,255	941	281	40
Others	-	-	-	-	290	290
CM	28,837	32,490	91,496	117,386	177,067	114,301
CM%	*34.2%*	*33.6%*	*36.4%*	*38.1%*	*39.8%*	*41.5%*
Fixed costs	20,616	22,924	48,306	73,672	108,679	72,365
Personnel costs	6,440	6,668	12,935	20,382	26,649	16,062
Fixed MC	83	80	106	140	131	67
Fixed SG&A	14,092	16,176	35,265	53,151	81,899	56,236
EBITDA	8,221	9,566	43,190	43,714	68,388	41,936
EBITDA%	*9.8%*	*9.9%*	*17.2%*	*14.2%*	*15.4%*	*15.2%*
D&A	1,996	1,263	1,036	1,466	4,265	3,403
EBIT	6,225	8,303	42,154	42,248	64,123	38,533
EBIT%	*7.4%*	*8.60%*	*16.80%*	*13.7%*	*14.4%*	*14.0%*
Non-op. income & exp.	(2,250)	(2,637)	2,289	(638)	(3,471)	(2,181)
CIT expenses	1,597	1,713	9,943	9,689	7,856	-
NI	2,378	3,953	34,500	31,920	52,796	36,352
NI%	*2.8%*	*4.1%*	*13.7%*	*10.4%*	*11.9%*	*13.2%*

Source: Company information
Note : MRD did not provide separately tracked opening costs; thus, product and opening costs are presented on an aggregated basis for the review period.

❖ The Company applies K-GAAP, and the figures represent consolidated pro forma financial statements of MRD, ADF, MZ, and PP.

- Revenue : Continued growth driven by new franchisees inflow and brand renewal post-Endemic, as well as the launch of SAD by ADF and the increase in both owned and franchise stores.
  - FY23 Rev. growth: Mainly due to a net increase of 91 MJG franchise stores and brand renewal at 428 stores.
  - FY24, FY25 Rev. growth : Attributable to the continued expansion of MJG and newly launched SAD stores. As of Jun 2025, the Company operates 568 MJG and 150 SAD stores.
  - Merchandise rev. : Comprise sales of exclusive products (e.g., raw meat) required for franchise stores and general products, as well as sales via credit/debit cards from owned store operations.
  - Product rev. : Represents MRD's revenue from manufacturing and selling products such as Naengmyeon seasoning and Dakgalbi sauce packages.
  - Incentive rev. : Mainly commissions received from logistics partners based on order volume of exclusive (non-meat) and general products. Decreased in LTM25 following the est. of MZ and logistics internalization in Apr 2024.
    - [Before MZ est.] The logistics cos. directly procured and supplied general products and franchise fixtures (e.g., table-order devices, claw machines), paying MRD a commission based on order volume. MRD paid freight for raw meat package products.
    - [After MZ est.] Following MZ's est. in Apr 2024, the logistics function was internalized, and incentive rev. was eliminated as intercompany transactions, with related product sales and costs are now recognized under MZ.

Strictly Private & Confidential

[Proforma] Profit & Loss Overview (2/3)

Opening revenue from interior and renovation work; MJG's 2023 brand renewal and SAD's franchise expansion in LTM25 generated KRW 82,340m and KRW 88,462m, respectively.

[Proforma] Profit & Loss

KRWm	2021 12mths	2022 12mths	2023 12mths	2024 12mths	LTM25 12mths	2025 6mths
Revenue	84,223	96,794	251,485	307,774	444,472	275,408
Merchandise	77,288	85,019	156,853	230,920	345,054	213,388
Product	1,072	1,011	2,642	2,429	1,545	656
Incentive	1,728	2,190	6,239	5,878	1,079	414
Royalty	2,757	2,474	2,824	5,016	7,463	4,450
Opening	1,309	5,923	82,340	62,451	88,462	55,355
Others	69	178	587	1,079	868	1,144
Variable COGS	55,386	64,304	159,989	190,388	267,405	161,107
Merchandise/Opening	54,732	63,796	158,734	189,447	266,834	160,777
Product	654	508	1,255	941	281	40
Others	-	-	-	-	290	290
CM	28,837	32,490	91,496	117,386	177,067	114,301
CM%	*34.2%*	*33.6%*	*36.4%*	*38.1%*	*39.8%*	*41.5%*
Fixed costs	20,616	22,924	48,306	73,672	108,679	72,365
Personnel costs	6,440	6,668	12,935	20,382	26,649	16,062
Fixed MC	83	80	106	140	131	67
Fixed SG&A	14,092	16,176	35,265	53,151	81,899	56,236
EBITDA	8,221	9,566	43,190	43,714	68,388	41,936
EBITDA%	*9.8%*	*9.9%*	*17.2%*	*14.2%*	*15.4%*	*15.2%*
D&A	1,996	1,263	1,036	1,466	4,265	3,403
EBIT	6,225	8,303	42,154	42,248	64,123	38,533
EBIT%	*7.4%*	*8.60%*	*16.80%*	*13.7%*	*14.4%*	*14.0%*
Non-op. income & exp.	(2,250)	(2,637)	2,289	(638)	(3,471)	(2,181)
CIT expenses	1,597	1,713	9,943	9,689	7,856	-
NI	2,378	3,953	34,500	31,920	52,796	36,352
NI%	*2.8%*	*4.1%*	*13.7%*	*10.4%*	*11.9%*	*13.2%*

Source: Company information
Note : MRD did not provide separately tracked opening costs; thus, product and opening costs are presented on an aggregated basis for the review period.

- Revenue(Cont')
  - Royalty rev.: Royalty from franchise operations, with SAD expansion, LTM25 royalty rev. increased to KRW 7,463M. Royalty is calculated as follows.

    For MJG, the standard franchise agreement was revised on Dec 19, 2024 (royalty rate increased from 2.8% to 10.5%). However, the Company applies special terms—KRW 0.45m per month for the first year, 1% of sales for the next two years, and 2.8% thereafter.

    Considering potential franchisee pushback, existing stores continue to apply the fixed-rate structure at renewal, with no plan for conversion to a variable rate.

Royalty policy

Brand	Dom./Ovs.	Ex./New	Details
MJG	Domestic	Existing	KRW 0.45m/month
		New (Jul 2024~)	KRW 0.45M per month for the first year, 1% of VAT excluded sales for the next two years, and 2.8% thereafter.
	Overseas		Operated under master agreements, with royalty rates ranging from 1.0%-3.5% of sales (KRW 0.45m/mths for certain stores).
SAD	Domestic		2.0% of POS sales

  - Opening rev. : Rev from interior construction, kitchen equipment, fixtures, and initial supplies provided for franchise openings or brand renewals. The Company signs separate contracts with franchisees and contractors and recognizes revenue on a gross basis. Payments to contractors and suppliers are made upfront, with the Company later collecting the marked-up amount from franchisees. Pre-opening payments are recorded as inventory and recognized as revenue and cost on the day before store opening.
  - FY23 Opening rev. growth : Revenue increased due to MJG brand renewal across all stores and expansion of new franchisees.

Strictly Private & Confidential

[Proforma] Profit & Loss Overview (3/3)

LTM25 EBITDA reached KRW 68,388m (15.4%) driven by revenue growth. 1H25 EBITDA was KRW 41,936m (61% of LTM25), indicating further growth expected for FY2025.

[Proforma] Profit & Loss

KRWm	2021 12mths	2022 12mths	2023 12mths	2024 12mths	LTM25 12mths	2025 6mths
Revenue	84,223	96,794	251,485	307,774	444,472	275,408
Merchandise	77,288	85,019	156,853	230,920	345,054	213,388
Product	1,072	1,011	2,642	2,429	1,545	656
Incentive	1,728	2,190	6,239	5,878	1,079	414
Royalty	2,757	2,474	2,824	5,016	7,463	4,450
Opening	1,309	5,923	82,340	62,451	88,462	55,355
Others	69	178	587	1,079	868	1,144
Variable COGS	55,386	64,304	159,989	190,388	267,405	161,107
Merchandise/Opening	54,732	63,796	158,734	189,447	266,834	160,777
Product	654	508	1,255	941	281	40
Others	–	–	–	–	290	290
CM	28,837	32,490	91,496	117,386	177,067	114,301
CM%	*34.2%*	*33.6%*	*36.4%*	*38.1%*	*39.8%*	*41.5%*
Fixed costs	20,616	22,924	48,306	73,672	108,679	72,365
Personnel costs	6,440	6,668	12,935	20,382	26,649	16,062
Fixed MC	83	80	106	140	131	67
Fixed SG&A	14,092	16,176	35,265	53,151	81,899	56,236
EBITDA	8,221	9,566	43,190	43,714	68,388	41,936
EBITDA%	*9.8%*	*9.9%*	*17.2%*	*14.2%*	*15.4%*	*15.2%*
D&A	1,996	1,263	1,036	1,466	4,265	3,403
EBIT	6,225	8,303	42,154	42,248	64,123	38,533
EBIT%	*7.4%*	*8.60%*	*16.80%*	*13.7%*	*14.4%*	*14.0%*
Non-op. income & exp.	(2,250)	(2,637)	2,289	(638)	(3,471)	(2,181)
CIT expenses	1,597	1,713	9,943	9,689	7,856	–
NI	2,378	3,953	34,500	31,920	52,796	36,352
NI%	*2.8%*	*4.1%*	*13.7%*	*10.4%*	*11.9%*	*13.2%*

Source: Company information
Note : MRD did not provide separately tracked opening costs; thus, product and opening costs are presented on an aggregated basis for the review period.

- Revenue (Cont')
  - FY24 & 1H25 rev. growth : Driven by the increase in ADF's SAD franchise stores. SAD's open income per store (KRW 1.0–1.2b annually) is higher than MJG's.

Opening rev.(excluded owned stores)

	MRD			ADF			Total		
KRW100m	2024 12mths	LTM25 12mths	2025 6mths	2024 12mths	LTM25 12mths	2025 6mths	2024 12mths	LTM25 12mths	2025 6mths
Domestic									
Opne rev.	288	87	3	298	765	538	587	852	541
# Stores[1]	80	26	1	31	67	45	111	93	46
Rev/store	*4*	*3*	*3*	*10*	*11*	*12*	*5*	*9*	*12*
Overseas	6	4	2	–	–	–	6	4	2
Total	295	90	4	298	765	538	593	855	542
PL							625	885	554
diff.							(31)	(29)	(11)

Source : Company information
Note: [1] number of newly opened stores

- Variable COGS: Includes merchandise, product cost (raw materials, utilities, supplies), opening, and other COGS (e.g., Korean buffet operations).
- Contribution Margin: Increased due to higher merchandise rev. and opening rev. from franchise expansion. Margin rose from 36.4% in FY23 to 39.8% in LTM25, driven by growth in high-margin SAD sales.
- Fixed Costs: Consist of labor, Fixed MC (rent, insurance, etc.), and Fixed SG&A (advertising, promotion, commissions, rent, outsourced ops, and other SG&A). Fixed costs rose from KRW 20,616m in FY21 to KRW 108,679m in LTM25, mainly due to (1) post-Endemic brand renewal, franchise expansion, and SAD launch, (2) MZ est. and logistics internalization, and (3) expansion of SAD and MJG owned stores.
- EBITDA : With revenue growth and expansion of SAD and owned stores, LTM25 EBITDA reached KRW 68,388m (15.4%). 1H25 EBITDA was KRW 41,936m (61.3% of LTM25), and continued SAD franchise growth is expected to further increase FY25 EBITDA.

[Proforma] Balance Sheet Overview (1/9)

Despite its low fixed asset intensity as a franchise operator, tangible assets rose by KRW 46,130m YoY, driven by investments in SAD-owned stores (10 stores as of Dec 31, 2024 → 65 stores as of June 30, 2025).

[Proforma] Net Assets

KRWm	2021 Dec.31	2022 Dec.31	2023 Dec.31	2024 Dec.31	2025 Jun.30
Fixed assets	5,318	4,723	28,163	59,166	118,218
Tangible assets	2,188	1,662	24,413	41,589	87,719
Intangible assets	324	65	34	4,377	10,035
Deposits	2,806	2,997	3,716	13,200	20,464
NWC	10,583	8,578	(9,504)	9,429	10,809
TWC	12,627	12,860	8,986	19,537	22,805
AR, net	1,463	659	(791)	(3,880)	7,645
Inventory	10,876	11,045	8,701	24,427	20,919
AP, net	288	1,156	1,076	(1,010)	(5,758)
OWC	(2,044)	(4,282)	(18,490)	(10,108)	(11,996)
Accrued income	13	66	1,873	4,885	3,299
Other receivables	116	32	58	364	3,091
Prepaid expenses	9	20	23	365	8
Other Payables	(968)	(1,051)	(1,633)	(1,688)	(6,139)
Accrued expenses	(215)	(333)	(725)	(1,559)	(2,584)
Withholdings	(407)	(493)	(3,141)	(4,672)	(4,880)
Deposits received	–	(200)	(5,170)	(1)	(7)
Taxes payable	(496)	(1,856)	(8,569)	(7,090)	(2,733)
VAT withholdings, net	(97)	(467)	(1,207)	(711)	(2,052)
Net cash	6,966	458	(34,048)	(69,553)	(101,577)
Cash and cash equivalents	18,465	11,594	12,708	23,959	28,508
Borrowings	(11,500)	(11,137)	(46,756)	(93,512)	(130,084)
Other assets and liabilities	17,970	31,058	94,854	110,695	114,291
Loans	15,798	25,232	88,210	96,993	98,678
Investments	2,066	4,739	5,820	12,741	14,652
Others	106	106	106	–	–
Deferred tax assets	–	981	718	961	961
Total net assets	40,837	44,817	79,466	109,737	141,742

Source : Company Information

Fixed assets

Tangible assets

KRWm	2021 Dec.31	2022 Dec.31	2023 Dec.31	2024 Dec.31	2025 Jun.30
Land	–	–	22,074	25,242	29,901
Building	–	–	–	586	2,453
Facilities	1,790	1,305	1,110	12,139	49,204
CIP	–	–	626	1,135	3,742
Fixtures	258	213	147	473	1,234
Vehicles	129	138	417	1,965	1,148
Machinery	12	7	38	49	37
Total	2,188	1,662	24,413	41,589	87,719

Source : Company Information

- **Tangible assets** : The Company operates franchise management (MRD), meat wholesale (PP), and logistics (MZ). Tangible assets increased due to non-operating property and owned store investments. MRD holds 96% of the tangible assets as of Jun 2025.
  - **Land&Building:** Land rose by KRW 22,074m in FY23 from Cheonho-dong HQ site acquisition. In FY25, Cheonan land (KRW 4,658m) and building (KRW 1,892m) were acquired for owned store use but remain idle with no defined plan.
  - **CIP** : Comprised of advance payments for owned store goodwill, deposits for non-operating lodging facilities, and advance payments related to construction prior to owned store openings.
  - **Facilities** : Mostly represents expansion Capex driven by owned store investments. Facilities increased by KRW 9,202m in FY24 with 10 new SAD owned stores and by KRW 32,134m in 1H25 with 55 additional openings. Also includes KRW 2,090m from the FY24 acquisition of Sungkyunkwan Wedding Hall.
  - **Fixtures:** Increased due to SAD owned store openings, rising by KRW 245m in FY24 and KRW 966m in 1H25.
  - **Vehicles** : Increased in FY24 from three luxury event vehicles totaling KRW 1,922m, partially offset by the sale of two units (KRW 852m) in FY25.

[Proforma] Balance Sheet Overview (2/9)

Intangible assets were KRW 10,035m, including KRW 10,031m of goodwill related to MJG and SAD as of June 2025. Lease deposits increased to KRW 20,464m due to the expansion of SAD-owned stores.

[Proforma] Net Assets

KRWm	2021 Dec.31	2022 Dec.31	2023 Dec.31	2024 Dec.31	2025 Jun.30
Fixed assets	5,318	4,723	28,163	59,166	118,218
Tangible assets	2,188	1,662	24,413	41,589	87,719
Intangible assets	324	65	34	4,377	10,035
Deposits	2,806	2,997	3,716	13,200	20,464
NWC	10,583	8,578	(9,504)	9,429	10,809
TWC	12,627	12,860	8,986	19,537	22,805
AR, net	1,463	659	(791)	(3,880)	7,645
Inventory	10,876	11,045	8,701	24,427	20,919
AP, net	288	1,156	1,076	(1,010)	(5,758)
OWC	(2,044)	(4,282)	(18,490)	(10,108)	(11,996)
Accrued income	13	66	1,873	4,885	3,299
Other receivables	116	32	58	364	3,091
Prepaid expenses	9	20	23	365	8
Other Payables	(968)	(1,051)	(1,633)	(1,688)	(6,139)
Accrued expenses	(215)	(333)	(725)	(1,559)	(2,584)
Withholdings	(407)	(493)	(3,141)	(4,672)	(4,880)
Deposits received	–	(200)	(5,170)	(1)	(7)
Taxes payable	(496)	(1,856)	(8,569)	(7,090)	(2,733)
VAT withholdings, net	(97)	(467)	(1,207)	(711)	(2,052)
Net cash	6,966	458	(34,048)	(69,553)	(101,577)
Cash and cash equivalents	18,465	11,594	12,708	23,959	28,508
Borrowings	(11,500)	(11,137)	(46,756)	(93,512)	(130,084)
Other assets and liabilities	17,970	31,058	94,854	110,695	114,291
Loans	15,798	25,232	88,210	96,993	98,678
Investments	2,066	4,739	5,820	12,741	14,652
Others	106	106	106	–	–
Deferred tax assets	–	981	718	961	961
Total net assets	40,837	44,817	79,466	109,737	141,742

Source : Company Information

Fixed assets(Cont')

Intangible assets

KRWm	2021 Dec.31	2022 Dec.31	2023 Dec.31	2024 Dec.31	2025 Jun.30
Goodwill	320	61	32	4,376	10,031
Patent, Trademark	4	3	2	1	3
Total	324	65	34	4,377	10,035

Source : Company information

- **Intangible assets :** Goodwill, entirely from premium fees, rose as SAD began operating owned stores in 2024. Premiums for tangible assets are recorded as facility premiums, with the remainder as goodwill. The Company amortizes goodwill over five years, though the actual premium value is contingent and determined upon transfer or contract renewal. Total premium cost: KRW 11,692m.

Deposits

KRWm	2021 Dec.31	2022 Dec.31	2023 Dec.31	2024 Dec.31	2025 Jun.30
Lease deposits	1,503	1,870	2,594	12,225	19,366
SAD	–	–	–	6,371	13,722
HQ etc.	1,493	1,860	1,784	1,948	1,988
Wedding hall	–	–	–	1,205	1,205
MJG	–	–	–	490	841
MZ warehouse	–	–	–	1,000	1,000
Non-operating	–	–	800	800	–
Others	10	10	10	410	610
Other deposits	1,366	1,207	1,213	1,166	1,259
Rental deposits	(63)	(81)	(91)	(191)	(161)
Total	2,806	2,997	3,716	13,200	20,464

Source : Company information

- **Lease deposits**: As of Jun 2025, about 71% related to SAD owned, with the remainder comprising deposits for HQ, staff housing, Sungkyunkwan Wedding Hall, MJG owned, and the MZ warehouse. The balance has been rising with HC growth and new store openings.
- **Other/rental deposits**: Among other deposits, KRW 1,000m related to the discontinued clam business and KRW 64m for non-operating vehicle lease deposits were reflected as NOA.

[Proforma] Balance Sheet Overview – TWC (3/9)

As most of the Company's revenue is structured to offset payments after receiving advances from franchisees, negative AR are generated. AR turnover is around 1.2 days based on 1H2025 proforma.

[Proforma] Accounts receivables

KRWm	2021 Dec.31	2022 Dec.31	2023 Dec.31	2024 Dec.31	2025 Jun.30
[MRD] AR, net	395	(1,212)	(3,594)	1,597	3,313
AR, gross	1,320	1,787	1,843	3,215	3,919
ADA	(171)	(429)	(345)	(424)	(424)
Advance receipts	(754)	(2,570)	(5,092)	(1,194)	(183)
[ADF] AR, net	105	50	210	1,589	67,032
AR, gross	143	86	218	8,645	67,078
ADA	–	–	–	–	–
Advance receipts	(38)	(36)	(8)	(7,056)	(46)
[PP] AR, net	966	1,824	2,592	2,011	1,563
AR, gross	976	1,842	2,619	2,073	1,668
ADA	(10)	(18)	(26)	(61)	(61)
Advance receipts	–	–	–	–	(44)
[MZ] AR, net	–	–	–	689	(622)
AR, gross	–	–	–	695	1,573
ADA	–	–	–	–	–
Advance receipts	–	–	–	(5)	(2,196)
Consol. Adj.	(3)	(3)	–	(9,767)	(63,640)
AR, gross	(3)	(3)	–	(10,052)	(64,727)
ADA	–	–	–	–	–
Advance receipts	–	–	–	286	1,086
Total	1,463	659	(791)	(3,880)	7,645
AR Turnover		*4*	*(0)*	*(3)*	*1*
MRD		*(1.6)*	*(3.5)*	*(1.5)*	*3.0*
ADF		*24.1*	*64.9*	*6.1*	*44.4*
PP		*12.3*	*13.7*	*11.8*	*9.1*
MZ		*na*	*na*	*2.5*	*0.1*

Source : Company information, Dart, KPMG Analysis
*Note : [1] (Beginning AR + Ending AR) / 2 / Revenue*365 (or 366, 181 for 2025)*

TWC– Accounts receivables

- MRD: As of the 1H25, Merchandise/opening revenue account for approximately 96% of total revenue. Since payments are mostly received in advance from franchisees, AR turnover is around 3 days.
  - Merchandise/opening rev.: Payments are received upfront from franchisees; thus, net AR are after deducting advances.
  - Other rev.: Royalties are paid monthly ostl(10th–MJG, 5th–SAD, next months); Incentive AR are paid on the 20th of the following month, mostly intercompany..
- ADF: About 80% of 1H25 revenues are from opening. Due to MRD's payment delays for SAD store openings, turnover increased. As ADF acquired the SAD brand in Sep 2023, FY22–FY23 turnover data were excluded.
  - Open rev.: One-time franchise/interior fees for SAD openings; usually negative turnover(prepayment before opening), but abnormal as of Jun 2025 due to KRW 57,523m unpaid by MRD.
  - Other rev.: Consist of royalty and incentive, with the same payment structure as MRD.
- PP: All revenues are from meat-related merchandise sales. AR arise when selling raw meat to processors and are collected every Monday upon MRD's payment for processed meat. Accordingly, the turnover period remains stable at around 9–13 days during the period.
- MZ: As of the 1H25, 96% of total revenues are from merchandise revenues, with most payments received in advance from franchisees. The turnover period is around 0.1 days(1H25).
- Bad debt policy: The company recognizes allowances through individual assessments (100% for closures/uncollectible cases) and collective evaluations, but actual bad debts are minimal.

Strictly Private & Confidential

[Proforma] Balance Sheet Overview – TWC (4/9)

As of June 2025, inventories totaled KRW 20,919m, comprising KRW 11,313m in franchise merchandise (MRD, ADF, PP), KRW 6,373m in MZ general goods, and KRW 3,232m in ADF prepaid opening inventories.

[Proforma] Inventories

KRWm	2021 Dec.31	2022 Dec.31	2023 Dec.31	2024 Dec.31	2025 Jun.30
[MRD] Inventories	2,543	1,789	5,362	3,947	6,631
Merchandise	2,428	1,633	2,549	3,947	6,631
Opening	115	156	2,813	–	–
[ADF] Inventories	11	5	–	7,147	3,305
Merchandise	–	–	–	–	72
Opening	11	5	–	7,147	3,232
[PP] Inventories	8,322	9,250	3,339	11,550	4,610
Merchandise	8,322	9,250	3,339	11,550	4,610
[MZ] Inventories	–	–	–	1,784	6,373
Merchandise	–	–	–	1,784	6,373
Total	10,876	11,045	8,701	24,427	20,919
Inventory Turnover[1]		*61.9*	*22.5*	*31.7*	*25.4*
MRD		*12.1*	*7.9*	*10.7*	*11.0*
ADF		*4.2*	*2.9*	*46.1*	*13.9*
PP		*80.4*	*43.3*	*46.2*	*40.9*
MZ		*na*	*na*	*11.1*	*11.9*

Source : Company Information, Dart, KPMG Analysis
*Note : [1] (Beginning inventory + Ending inventory) / 2 / Cost of revenue * 365 (or 366; 181 for 2025))*

TWC– Inventory

- **MRD:** With fewer new store openings since FY24, there are no opening inventories — all are merchandise. Excluding FY23 (when openings were high), the turnover period remains steady at 11–12 days.
  - Although MRD produces some items like sauces, all related raw material costs are expensed immediately, so no merchandise inventories exist.
- **ADF:** With the increase in new SAD franchise openings since FY24, opening inventories have risen. Prepaid interior and fixture costs for new franchise openings, recognized as inventory until collected from franchisees as opening revenue.
- **PP:** Since raw meat is purchased through PP based on MRD's franchisees' orders, the actual inventory level remains low. In FY21–22, inventories temporarily increased due to reduced franchise sales from COVID-19, resulting in a longer turnover period.
  - **Loan secured by raw meat inventory**: PP temporarily sells and repurchases raw meat under buyback agreements for financing. The collateralized loan, first introduced in FY25, is effectively a borrowing transaction with Singsong Industrial and Nongshim Taekyung. Ownership of meat stored in the shared warehouse is transferred electronically within the system. Related inventories totaled KRW 11,354m, extending the turnover period.
- **MZ:** The inventory consists of general goods purchased and sold directly to franchisees, with a stable turnover period of around 11–12 days.
- **Inventory valuation allowance:** MRD and PP adjust inventory levels based on franchisees' orders, so inventories are sold immediately with no allowances required. MZ does not set valuation allowances either, as most items are sold within 2months.

[Proforma] Balance Sheet Overview – TWC (5/9)

As of June 2025, Adjusted net accounts payable were KRW 8,420m, mainly from MZ merchandise, while MRD and PP made advance payments to meat processors, resulting in a negative turnover period.

[Proforma] Accounts payable

KRWm	2021 Dec.31	2022 Dec.31	2023 Dec.31	2024 Dec.31	2025 Jun.30
[MRD] AP,net	232	785	876	(471)	(28)
AP	232	1,116	888	994	75
Adv.P_raw meat	–	(331)	(13)	(1,464)	(102)
[ADF] AP,net	88	36	26	403	984
AP	88	36	26	403	984
[PP] AP,net	(319)	(1,873)	(1,752)	(2,130)	(1,008)
AP	–	184	219	332	470
Adv.P_raw meat	(319)	(2,057)	(1,972)	(2,461)	(1,478)
[MZ] AP,net	–	–	–	8,909	14,797
AP	–	–	–	8,909	14,797
Adv.P_non raw meat	(289)	(104)	(225)	(2,724)	(3,716)
Consol Adj.	–	–	–	(2,978)	(5,271)
AP	–	–	–	(3,264)	(6,326)
Adv.P_non raw meat	–	–	–	286	1,054
Total	(288)	(1,156)	(1,076)	1,010	5,758
Adj. AP	1	(1,052)	(851)	3,448	8,420
AP Turnover		*(3.0)*	*(2.2)*	*2.3*	*6.8*
MRD		*2.9*	*1.8*	*0.5*	*(0.5)*
ADF		*31.6*	*34.2*	*2.2*	*1.9*
PP		*(9.8)*	*(14.0)*	*(10.6)*	*(9.9)*
MZ		*na*	*na*	*52.1*	*32.1*

Source : Company Information, Dart, KPMG Analysis
Note : [1] (Beginning accounts payable + Ending accounts payable) / 2 / Purchases × 365 (or 366, 181 for 2025)

TWC– Accounts payable

- **MRD:** Accounts payable consist of payments to meat processors and other merchandise suppliers. Meat payments are made within 1 week, and others on the same day, resulting in a payable turnover period of around (–)1–3 days.
  - **Advance payments_raw meat:** Deposits paid to processors and importers, deducted from accounts payable for analysis.
- **ADF :** Most payables relate to interior construction costs, typically settled within the following month, though payments are generally made within a week after invoice issuance. Merchandise purchases are usually paid on the invoice date, resulting in a turnover period of around 2 days in FY24–FY25.
- **PP:** According to the company, payments to MSF for meat delivered to PP's warehouse are made the following day. After deducting advance deposits paid to processors, the payable turnover period is negative.
- **MZ:** All suppliers are paid within 30 days. As of Jun 2025, MZ's accounts payable totaled KRW 14,797m, accounting for nearly all payables.
- **Advance payments_non raw meat:** non raw meat advances are unrelated to working capital and are reclassified as other working capital in the QoWC analysis.

[Proforma] Balance Sheet Overview (6/9)

As of June 2025, Other working capital totaled KRW(–)11,996m, including KRW 2,425m in interest receivable from a lending company, classified as non-operating assets.

[Proforma] Net Assets

KRWm	2021 Dec.31	2022 Dec.31	2023 Dec.31	2024 Dec.31	2025 Jun.30
Fixed assets	5,318	4,723	28,163	59,166	118,218
Tangible assets	2,188	1,662	24,413	41,589	87,719
Intangible assets	324	65	34	4,377	10,035
Deposits	2,806	2,997	3,716	13,200	20,464
NWC	10,583	8,578	(9,504)	9,429	10,809
TWC	12,627	12,860	8,986	19,537	22,805
AR, net	1,463	659	(791)	(3,880)	7,645
Inventories	10,876	11,045	8,701	24,427	20,919
AP, net	288	1,156	1,076	(1,010)	(5,758)
OWC	(2,044)	(4,282)	(18,490)	(10,108)	(11,996)
Accrued income	13	66	1,873	4,885	3,299
Other receivables	116	32	58	364	3,091
Prepaid expenses	9	20	23	365	8
Other Payables	(968)	(1,051)	(1,633)	(1,688)	(6,139)
Accrued expenses	(215)	(333)	(725)	(1,559)	(2,584)
Withholdings	(407)	(493)	(3,141)	(4,672)	(4,880)
Deposits received	–	(200)	(5,170)	(1)	(7)
Taxes payable	(496)	(1,856)	(8,569)	(7,090)	(2,733)
VAT withholdings, net	(97)	(467)	(1,207)	(711)	(2,052)
Net cash	6,966	458	(34,048)	(69,553)	(101,577)
Cash and cash equivalents	18,465	11,594	12,708	23,959	28,508
Borrowings	(11,500)	(11,137)	(46,756)	(93,512)	(130,084)
Other assets and liabilities	17,970	31,058	94,854	110,695	114,291
Loans	15,798	25,232	88,210	96,993	98,678
Investments	2,066	4,739	5,820	12,741	14,652
Others	106	106	106	–	–
Deferred tax assets	–	981	718	961	961
Total net assets	40,837	44,817	79,466	109,737	141,742

Source : Company Information, Dart, KPMG Analysis

OWC –Other working capital

- **Accrued income:** Composed of interest receivables from deposits, loans, and lending companies. Since FY23, accrued income has increased due to higher interest from lending companies. As all loans will be settled after this transaction, related interest receivables are classified as NOA. As of Jun 2025, accrued interest from lending companies amounted to KRW 3,059m.
- **Other receivables:** VAT refund receivables totaled KRW 2,887m as of Jun 2025, up from 2024, due to the inclusion of the pre-refund balance for the 1H25.
- **Prepaid expenses:** Mainly unexpired automobile insurance premiums.

Other Payables

KRWm	2021 Dec.31	2022 Dec.31	2023 Dec.31	2024 Dec.31	2025 Jun.30
Personnel expenses	309	375	797	832	984
Outsourced op. fee(Owned)	–	–	–	–	2,412
Advertising expenses	12	12	23	190	1,481
Accrued interest payables	–	–	–	–	453
Distribution Expenses	122	278	472	73	129
Others	525	386	341	592	679
Total	968	1,051	1,633	1,688	6,139

Source : Company Information

- **Other payables:** Consist of Personnel expenses, outsourced operating fees for owned stores, advertising exp., accrued interest payables, and distribution exp. The outsourced op. fees are payments to store managers who operate owned stores on behalf of headquarters. Advertising expenses increased significantly due to SAD promotions — KRW 23m in FY23 → KRW 190m in FY24 → KRW 1,481m in FY25. Accrued interest payables mainly relates to HQ investment deposits borrowed from employees.

[Proforma] Balance Sheet Overview (7/9)

As of June 2025, OWC was KRW (–)11,996m. Withholdings related to lending interest, gift certificates, and franchise promotions totaling KRW 4,880m are definite outflows to be treated as debt-like items.

[Proforma] Net Assets

KRWm	2021 Dec.31	2022 Dec.31	2023 Dec.31	2024 Dec.31	2025 Jun.30
Fixed assets	5,318	4,723	28,163	59,166	118,218
Tangible assets	2,188	1,662	24,413	41,589	87,719
Intangible assets	324	65	34	4,377	10,035
Deposits	2,806	2,997	3,716	13,200	20,464
NWC	10,583	8,578	(9,504)	9,429	10,809
TWC	12,627	12,860	8,986	19,537	22,805
AR, net	1,463	659	(791)	(3,880)	7,645
Inventories	10,876	11,045	8,701	24,427	20,919
AP, net	288	1,156	1,076	(1,010)	(5,758)
OWC	(2,044)	(4,282)	(18,490)	(10,108)	(11,996)
Accrued income	13	66	1,873	4,885	3,299
Other receivables	116	32	58	364	3,091
Prepaid expenses	9	20	23	365	8
Other Payables	(968)	(1,051)	(1,633)	(1,688)	(6,139)
Accrued expenses	(215)	(333)	(725)	(1,559)	(2,584)
Withholdings	(407)	(493)	(3,141)	(4,672)	(4,880)
Deposits received	–	(200)	(5,170)	(1)	(7)
Taxes payable	(496)	(1,856)	(8,569)	(7,090)	(2,733)
VAT withholdings, net	(97)	(467)	(1,207)	(711)	(2,052)
Net cash	6,966	458	(34,048)	(69,553)	(101,577)
Cash and cash equivalents	18,465	11,594	12,708	23,959	28,508
Borrowings	(11,500)	(11,137)	(46,756)	(93,512)	(130,084)
Other assets and liabilities	17,970	31,058	94,854	110,695	114,291
Loans	15,798	25,232	88,210	96,993	98,678
Investments	2,066	4,739	5,820	12,741	14,652
Others	106	106	106	–	–
Deferred tax assets	–	981	718	961	961
Total net assets	40,837	44,817	79,466	109,737	141,742

Source : Company Information, Dart, KPMG Analysis

OWC – Other working capital

- **Accrued expenses:** Consists of unpaid salaries, accrued leave and severance, unpaid interest, and card payables. Accrued exp. increased as the average number of employees rose from 145 in FY23 to 247 in FY24 and 436 in LTM25. Unpaid interest is classified as a DLI.

Withholdings

KRWm	2021 Dec.31	2022 Dec.31	2023 Dec.31	2024 Dec.31	2025 Jun.30
Franchise withholdings	351	408	2,702	4,353	4,347
Taxs,etc.	33	74	447	321	754
Others	23	11	(8)	(2)	(220)
Total	407	493	3,141	4,672	4,880

Source : Company Information

- **Withholdings:** Franchise withholdings consist entirely of MRD amounts, including ① Interest included in merchandise payments and remitted to lending cos., ② promotional withholdings accrued from 1% of POS sales, and ③ gift certificate-related withholdings. All franchisees withholdings are classified as debt-like items.
- **Deposits received:** In FY23, deposits from franchisees were received with interest paid via a ~15% meat discount. All deposits were refunded by Jun 2025 and reflected in QoWC as non-recurring.
- **Taxes payable,etc. :** Comprises unpaid taxes including CIT payable, net of prepaid taxes such as withholding taxes on interest income.
- **VAT withholdings:** Vary depending on the timing and volume of issued revenues and purchase invoices.

[Proforma] Balance Sheet Overview (8/9)

As of June 2025, net cash was KRW (–)101,577m. After Jun 2025, KRW 6,650m in borrowings from shareholder, employees and executives was repaid and KRW 4,700m in new bank loans raised.

[Proforma] Net Assets

KRWm	2021 Dec.31	2022 Dec.31	2023 Dec.31	2024 Dec.31	2025 Jun.30
Fixed assets	5,318	4,723	28,163	59,166	118,218
Tangible assets	2,188	1,662	24,413	41,589	87,719
Intangible assets	324	65	34	4,377	10,035
Deposits	2,806	2,997	3,716	13,200	20,464
NWC	10,583	8,578	(9,504)	9,429	10,809
TWC	12,627	12,860	8,986	19,537	22,805
AR, net	1,463	659	(791)	(3,880)	7,645
Inventories	10,876	11,045	8,701	24,427	20,919
AP, net	288	1,156	1,076	(1,010)	(5,758)
OWC	(2,044)	(4,282)	(18,490)	(10,108)	(11,996)
Accrued income	13	66	1,873	4,885	3,299
Other receivables	116	32	58	364	3,091
Prepaid expenses	9	20	23	365	8
Other Payables	(968)	(1,051)	(1,633)	(1,688)	(6,139)
Accrued expenses	(215)	(333)	(725)	(1,559)	(2,584)
Withholdings	(407)	(493)	(3,141)	(4,672)	(4,880)
Deposits received	–	(200)	(5,170)	(1)	(7)
Taxes payable	(496)	(1,856)	(8,569)	(7,090)	(2,733)
VAT withholdings, net	(97)	(467)	(1,207)	(711)	(2,052)
Net cash	6,966	458	(34,048)	(69,553)	(101,577)
Cash and cash equivalents	18,465	11,594	12,708	23,959	28,508
Borrowings	(11,500)	(11,137)	(46,756)	(93,512)	(130,084)
Other assets and liabilities	17,970	31,058	94,854	110,695	114,291
Loans	15,798	25,232	88,210	96,993	98,678
Investments	2,066	4,739	5,820	12,741	14,652
Others	106	106	106	–	–
Deferred tax assets	–	981	718	961	961
Total net assets	40,837	44,817	79,466	109,737	141,742

Source : Company Information, Dart, KPMG Analysis

Net Cash

- **Cash and cash equivalents :** As of Jun 2025, the balance was KRW 28,508m, consisting of MRD KRW 8,949m, ADF KRW 4,501m,PP KRW 5,662m, and MZ KRW 9,396m.

Borrowings as of June 2025[1]

KRWm	MRD	ADF	PP	MZ	Total
Bank	95,110	8,333	1,100	–	104,544
Borrowings from share./empl.	6,650	3,401	–	–	10,051
CEO	–	2,470	–	–	2,470
share./empl	6,650	931	–	–	7,581
HO investment deposits	9,920	–	–	–	9,920
Related parties(empl./share.)	–	3,300	–	–	3,300
Franchisees(SAD)	–	1,770	–	–	1,770
Affiliates	–	500	–	–	500
Total	111,680	17,304	1,100	–	130,084

Source :Company Information
Note: Borrowings by entity (MRD, ADF, PP, MZ) are stated net of intercompany loans.

- **Borrowings :** As of Jun 2025, total borrowings were KRW 130,084m, including KRW 104,544m in bank loans .
  – MRD's borrowings form share./empl. were repaid in Jul–Aug 2025.
  – Land and buildings in Cheonho–dong, Jeonju, and Cheonan (book value KRW 32,384m) were pledged as collateral for the IBK facility loan (book value KRW 16,000m as of Jun 2025).
  – HQ investment deposits represent one–off borrowings received from processors and franchisees to fund new store openings, which were settled after Jun 2025.
  – Additional loans after Jun 2025 are PP KRW 1,000m, MRD KRW 2,200m, ADF KRW 1,500m.

[Proforma] Balance Sheet Overview (9/9)

As of June 2025, loans to lending companies totaling KRW 95,609m are expected to be settled before transaction closing. All loans and investment assets are treated as non-operating assets.

[Proforma] Net Assets

KRWm	2021 Dec.31	2022 Dec.31	2023 Dec.31	2024 Dec.31	2025 Jun.30
Fixed assets	5,318	4,723	28,163	59,166	118,218
Tangible assets	2,188	1,662	24,413	41,589	87,719
Intangible assets	324	65	34	4,377	10,035
Deposits	2,806	2,997	3,716	13,200	20,464
NWC	10,583	8,578	(9,504)	9,429	10,809
TWC	12,627	12,860	8,986	19,537	22,805
AR, net	1,463	659	(791)	(3,880)	7,645
Inventories	10,876	11,045	8,701	24,427	20,919
AP, net	288	1,156	1,076	(1,010)	(5,758)
OWC	(2,044)	(4,282)	(18,490)	(10,108)	(11,996)
Accrued income	13	66	1,873	4,885	3,299
Other receivables	116	32	58	364	3,091
Prepaid expenses	9	20	23	365	8
Other Payables	(968)	(1,051)	(1,633)	(1,688)	(6,139)
Accrued expenses	(215)	(333)	(725)	(1,559)	(2,584)
Withholdings	(407)	(493)	(3,141)	(4,672)	(4,880)
Deposits received	–	(200)	(5,170)	(1)	(7)
Taxes payable	(496)	(1,856)	(8,569)	(7,090)	(2,733)
VAT withholdings, net	(97)	(467)	(1,207)	(711)	(2,052)
Net cash	6,966	458	(34,048)	(69,553)	(101,577)
Cash and cash equivalents	18,465	11,594	12,708	23,959	28,508
Borrowings	(11,500)	(11,137)	(46,756)	(93,512)	(130,084)
Other assets and liabilities	17,970	31,058	94,854	110,695	114,291
Loans	15,798	25,232	88,210	96,993	98,678
Investments	2,066	4,739	5,820	12,741	14,652
Others	106	106	106	–	–
Deferred tax assets	–	981	718	961	961
Total net assets	40,837	44,817	79,466	109,737	141,742

Source : Company Information, Dart, KPMG Analysis

Other assets and liabilities

Loans as of June 2025

KRWm	MRD	ADF	PP	MZ	Total
Lending companies	95,609	–	–	–	95,609
Related parties	20	–	2,036	–	2,056
franchise store	131	13	2,053	–	2,197
Affiliate	1,580	–	–	–	1,580
MSF	–	–	1,000	–	1,000
Others	720	–	–	–	720
(-) ADA	(3,391)	–	(1,093)	–	(4,484)
Total	94,670	13	3,995	–	98,678

Source :Company Information

Note: Borrowings by entity (MRD, ADF, PP, MZ) are stated net of intercompany loans.

- **Loans:** Loans to lending companies and KRW 1,095m to YJS & KHJ will be repaid before closing
  - Lending companies: CEO-owned lending firms borrowed from MRD (4.6%) to finance franchisees.
  - Related parties: Related-party loans are interest-free; after tax audit, KRW 645m to YJS carries a 4.6% notional interest but unpaid.
  - MSF: Interest-free business loan to a meat importer, fully repayable at contract end; KRW 2,750m lent (Oct 2024), KRW 1,000m outstanding as of Jun 2025.
  - ADA: Includes KRW 1,140m for affiliates and KRW 1,964m for lending companies.
  - Others: A KRW 720m interest-free loan to an employee of a business partner, to be repaid by 2028.
- **Investments:** Include KRW 9,451m in Investments in equity method(5 subsidiaries including Yujin Farm), KRW 4,863m in LT financial instru-ments(savings-type life insurance KRW 992m and time & savings deposits KRW3,872m), and KRW 338m in national housing bonds.

Contents

Strictly Private & Confidential

[Proforma] Consolidation Worksheet(1/6)

[FY2021] Proforma PL

KRWm	MRD 12mths	ADF 12mths	MZ 12mths	PP 12mths	Agg. 12mths	Consol Adj. 12mths	Proforma 12mths
Revenue	82,798	1,456	–	37,210	121,464	(37,241)	84,223
Merchandise	76,631	657	–	37,210	114,498	(37,210)	77,288
Product	1,072	–	–	–	1,072	–	1,072
Incentive	1,438	290	–	–	1,728	–	1,728
Royalty	2,757	–	–	–	2,757	–	2,757
Opening	800	509	–	–	1,309	–	1,309
Others	100	–	–	–	100	(31)	69
Variable COSG	57,839	1,082	–	33,675	92,596	(37,210)	55,386
Merchandise/Opening	57,185	1,082	–	33,675	91,942	(37,210)	54,732
Product	654	–	–	–	654	–	654
Others	–	–	–	–	–	–	–
CM	24,959	374	–	3,535	28,868	(31)	28,837
CM%	*30.1%*	*25.7%*	*–*	*9.5%*	*23.8%*	*0.1%*	*34.2%*
Fixed costs	18,477	873	–	1,297	20,647	(31)	20,616
Personnel costs	5,656	375	–	409	6,440	–	6,440
Fixed MC	83	–	–	–	83	–	83
Fixed SG&A	12,738	498	–	888	14,124	(31)	14,092
Ad. exp.	2,891	281	–	–	3,172	–	3,172
Comm. exp.	2,176	27	–	110	2,313	–	2,313
Operating exp.	–	–	–	–	–	–	–
Promotion	1,665	4	–	–	1,669	–	1,669
Freight	2,327	22	–	–	2,349	–	2,349
Rent	975	31	–	17	1,024	(31)	993
Supplies	528	13	–	20	561	–	561
Utilities	110	8	–	–	117	–	117
Traveling exp.	319	21	–	1	341	–	341
Taxes and dues	923	13	–	10	945	–	945
Storage exp.	202	–	–	713	915	–	915
Insurance prem.	95	4	–	4	103	–	103
Entertainment	283	4	–	4	290	–	290
Vehicle maint.	70	–	–	7	76	–	76
Bad debt exp.	17	–	–	1	18	–	18
Others	156	71	–	2	230	–	230
EBITDA	6,482	(499)	–	2,238	8,221	0	8,221
EBITDA%	*7.8%*	*(34.3%)*	*–*	*6.0%*	*6.8%*	*(0.0%)*	*9.8%*
D&A	1,982	2	–	12	1,996	–	1,996
EBIT	4,500	(501)	–	2,226	6,225	0	6,225
Non-op. income	1,372	5	–	21	1,399	(833)	566
Non-op. expenses	1,922	0	–	1,727	3,649	(833)	2,816
EBT	3,951	(496)	–	520	3,975	0	3,975
CIT exp.	1,128	–	–	469	1,597	–	1,597
NI	2,822	(496)	–	51	2,378	0	2,378
NI%	*3.4%*	*(34.0%)*	*–*	*0.1%*	*2.0%*	*(0.0%)*	*2.8%*

Source: Company information

[FY2021] Proforma Net Assets

KRWb	MRD Dec.31	ADF Dec.31	MZ Dec.31	PP Dec.31	Agg. Dec.31	Consol Adj. Dec.31	Proforma Dec.31
Fixed assets	5,243	34	–	42	5,318	–	5,318
Tangible assets	2,165	2	–	22	2,188	–	2,188
Intangible assets	322	2	–	–	324	–	324
Deposits	2,756	30	–	20	2,806	–	2,806
NWC	2,693	7	–	7,883	10,583	(0)	10,583
TWC	2,989	31	–	9,610	12,630	(3)	12,627
AR, net	395	105	–	966	1,466	(3)	1,463
AR	1,148	143	–	966	2,257	(3)	2,255
AR, gross	1,320	143	–	976	2,438	(3)	2,435
ADA	(171)	–	–	(10)	(181)	–	(181)
Adv. receipts	754	38	–	–	791	–	791
Inventories	2,543	11	–	8,322	10,876	–	10,876
Merchandise	2,543	11	–	8,322	10,876	–	10,876
Ingredients	–	–	–	–	–	–	–
AP, net	(52)	86	–	(322)	(288)	–	(288)
AP, gross	232	88	–	–	320	–	320
Adv. payments	367	2	–	322	692	–	692
ADA	(84)	–	–	–	(84)	–	(84)
OWC	(296)	(24)	–	(1,727)	(2,047)	3	(2,044)
Accrued income	1,490	5	–	4	1,499	(1,486)	13
Other receivables	116	–	–	–	116	–	116
Prepaid expenses	6	0	–	2	9	–	9
Other payables	863	22	–	86	971	(3)	968
Accrued expenses	218	–	–	1,483	1,701	(1,486)	215
Withholdings	380	5	–	22	407	–	407
Deposits received	–	–	–	–	–	–	–
Taxes payable	350	3	–	143	496	–	496
VAT withholdings	97	–	–	–	97	–	97
Net cash	890	(1,047)	–	(12,077)	(12,234)	19,200	6,966
Cash and cash equiv.	10,490	53	–	7,923	18,465	–	18,465
Borrowings	9,600	1,100	–	20,000	30,700	(19,200)	11,500
Other assets and liab.	22,053	106	–	15,011	37,170	(19,200)	17,970
Loans	19,987	–	–	15,011	34,998	(19,200)	15,798
Investments	2,066	–	–	–	2,066	–	2,066
Others	–	106	–	–	106	–	106
Deferred tax assets	–	–	–	–	–	–	–
Net asset	30,879	(901)	–	10,859	40,837	–	40,837

Source: Company information

Strictly Private & Confidential

[Proforma] Consolidation Worksheet(2/6)

[FY2022] Proforma PL

KRWm	MRD 12mths	ADF 12mths	MZ 12mths	PP 12mths	Agg. 12mths	Consol Adj. 12mths	Proforma 12mths
Revenue	95,651	1,174	–	41,277	138,103	(41,308)	96,794
Merchandise	84,418	602	–	41,277	126,296	(41,277)	85,019
Product	1,011	–	–	–	1,011	–	1,011
Incentive	1,787	403	–	–	2,190	–	2,190
Royalty	2,474	–	–	–	2,474	–	2,474
Opening	5,763	160	–	–	5,923	–	5,923
Others	200	9	–	–	209	(31)	178
Variable COSG	64,966	725	–	39,890	105,581	(41,277)	64,304
Merchandise/Opening	64,459	725	–	39,890	105,074	(41,277)	63,796
Product	508	–	–	–	508	–	508
Others	–	–	–	–	–	–	–
CM	30,685	449	–	1,387	32,521	(31)	32,490
CM%	*32.1%*	*38.3%*	*–*	*3.4%*	*23.5%*	*0.1%*	*33.6%*
Fixed costs	21,265	534	–	1,156	22,955	(31)	22,924
Personnel costs	6,066	179	–	423	6,668	–	6,668
Fixed MC	80	–	–	–	80	–	80
Fixed SG&A	15,119	355	–	733	16,207	(31)	16,176
Ad. exp.	2,781	105	–	–	2,886	–	2,886
Comm. exp.	1,709	30	–	129	1,868	–	1,868
Operating exp.	–	–	–	–	–	–	–
Promotion	4,501	3	–	–	4,504	–	4,504
Freight	2,557	43	–	0	2,600	–	2,600
Rent	1,021	32	–	18	1,071	(31)	1,039
Supplies	743	62	–	17	823	–	823
Utilities	113	7	–	–	121	–	121
Traveling exp.	505	31	–	1	537	–	537
Taxes and dues	377	7	–	11	394	–	394
Storage exp.	4	–	–	493	497	–	497
Insurance prem.	92	2	–	5	99	–	99
Entertainment	285	5	–	39	328	–	328
Vehicle maint.	89	–	–	8	97	–	97
Bad debt exp.	258	–	–	11	268	–	268
Others	84	29	–	2	115	–	115
EBITDA	9,420	(85)	–	231	9,566	0	9,566
EBITDA%	*9.8%*	*(7.2%)*	*–*	*0.6%*	*6.9%*	*(0.0%)*	*9.9%*
D&A	1,250	1	–	12	1,263	–	1,263
EBIT	8,170	(86)	–	219	8,303	0	8,303
Non-op. income	1,666	3	–	281	1,950	(891)	1,058
Non-op. expenses	2,613	0	–	1,974	4,587	(891)	3,695
EBT	7,224	(84)	–	(1,474)	5,666	0	5,666
CIT exp.	1,656	–	–	57	1,713	–	1,713
NI	5,567	(84)	–	(1,531)	3,953	0	3,953
NI%	*5.8%*	*(7.2%)*	*–*	*(3.7%)*	*2.9%*	*(0.0%)*	*4.1%*

Source: Company information

[FY2022] Proforma Net Assets

KRWb	MRD Dec.31	ADF Dec.31	MZ Dec.31	PP Dec.31	Agg. Dec.31	Consol Adj. Dec.31	Proforma Dec.31
Fixed assets	4,661	33	–	30	4,723	–	4,723
Tangible assets	1,651	1	–	10	1,662	–	1,662
Intangible assets	63	2	–	–	65	–	65
Deposits	2,947	30	–	20	2,997	–	2,997
NWC	(2,052)	9	–	10,621	8,578	(0)	8,578
TWC	(104)	20	–	12,947	12,863	(3)	12,860
AR, net	(1,212)	50	–	1,824	662	(3)	659
AR	1,358	86	–	1,824	3,268	(3)	3,265
AR, gross	1,787	86	–	1,842	3,715	(3)	3,712
ADA	(429)	–	–	(18)	(447)	–	(447)
Adv. receipts	2,570	36	–	–	2,605	–	2,605
Inventories	1,789	5	–	9,250	11,045	–	11,045
Merchandise	1,789	5	–	9,250	11,045	–	11,045
Ingredients	–	–	–	–	–	–	–
AP, net	682	35	–	(1,873)	(1,156)	–	(1,156)
AP, gross	1,116	36	–	184	1,336	–	1,336
Adv. payments	513	1	–	2,057	2,570	–	2,570
ADA	(79)	–	–	–	(79)	–	(79)
OWC	(1,948)	(11)	–	(2,326)	(4,285)	3	(4,282)
Accrued income	2,288	–	–	231	2,518	(2,453)	66
Other receivables	27	5	–	–	32	–	32
Prepaid expenses	18	–	–	2	20	–	20
Other payables	941	12	–	101	1,054	(3)	1,051
Accrued expenses	400	–	–	2,386	2,786	(2,453)	333
Withholdings	470	0	–	23	493	–	493
Deposits received	200	–	–	–	200	–	200
Taxes payable	1,803	4	–	49	1,856	–	1,856
VAT withholdings	467	–	–	–	467	–	467
Net cash	(3,114)	(1,132)	–	(27,096)	(31,342)	31,800	458
Cash and cash equiv.	6,123	68	–	5,404	11,594	–	11,594
Borrowings	9,237	1,200	–	32,500	42,937	(31,800)	11,137
Other assets and liab.	36,979	106	–	25,774	62,858	(31,800)	31,058
Loans	31,258	–	–	25,774	57,032	(31,800)	25,232
Investments	4,739	–	–	–	4,739	–	4,739
Others	–	106	–	–	106	–	106
Deferred tax assets	981	–	–	–	981	–	981
Net asset	36,473	(985)	–	9,329	44,817	(0)	44,817

Source: Company information

KPMG

[Proforma] Consolidation Worksheet(3/6)

[FY2023] Proforma PL

KRWm	MRD 12mths	ADF 12mths	MZ 12mths	PP 12mths	Agg. 12mths	Consol Adj. 12mths	Proforma 12mths
Revenue	250,779	732	–	58,918	310,429	(58,944)	251,485
Merchandise	156,515	337	–	58,913	215,765	(58,913)	156,853
Product	2,642	–	–	–	2,642	–	2,642
Incentive	5,871	369	–	–	6,239	–	6,239
Royalty	2,824	–	–	–	2,824	–	2,824
Opening	82,314	26	–	–	82,340	–	82,340
Others	612	–	–	6	618	(31)	587
Variable COSG	165,452	335	–	53,114	218,902	(58,913)	159,989
Merchandise/Opening	164,198	335	–	53,114	217,647	(58,913)	158,734
Product	1,255	–	–	–	1,255	–	1,255
Others	–	–	–	–	–	–	–
CM	85,327	396	–	5,805	91,528	(31)	91,496
CM%	*34.0%*	*54.2%*	*–*	*9.9%*	*29.5%*	*0.1%*	*36.4%*
Fixed costs	47,106	194	–	1,037	48,337	(31)	48,306
Personnel costs	12,408	71	–	457	12,935	–	12,935
Fixed MC	106	–	–	–	106	–	106
Fixed SG&A	34,593	122	–	581	35,296	(31)	35,265
Ad. exp.	8,143	1	–	–	8,144	–	8,144
Comm. exp.	3,362	16	–	54	3,432	–	3,432
Operating exp.	–	–	–	–	–	–	–
Promotion	12,787	1	–	–	12,787	–	12,787
Freight	4,134	13	–	–	4,147	–	4,147
Rent	1,279	31	–	20	1,330	(31)	1,298
Supplies	1,319	44	–	25	1,387	–	1,387
Utilities	239	8	–	–	247	–	247
Traveling exp.	1,282	5	–	4	1,291	–	1,291
Taxes and dues	655	2	–	9	667	–	667
Storage exp.	4	–	–	412	415	–	415
Insurance prem.	171	1	–	3	176	–	176
Entertainment	911	0	–	36	947	–	947
Vehicle maint.	223	–	–	8	231	–	231
Bad debt exp.	(77)	–	–	8	(69)	–	(69)
Others	162	1	–	2	165	–	165
EBITDA	38,220	203	–	4,767	43,190	0	43,190
EBITDA%	*15.2%*	*27.7%*	*–*	*8.1%*	*13.9%*	*(0.0%)*	*17.2%*
D&A	1,025	1	–	10	1,036	–	1,036
EBIT	37,195	202	–	4,757	42,154	0	42,154
Non-op. income	4,842	13	–	2,607	7,462	(2,641)	4,821
Non-op. expenses	2,187	8	–	2,979	5,173	(2,641)	2,532
EBT	39,850	208	–	4,386	44,443	–	44,443
CIT exp.	8,561	–	–	1,382	9,943	–	9,943
NI	31,289	208	–	3,004	34,500	–	34,500
NI%	*12.5%*	*28.4%*	*–*	*5.1%*	*11.1%*	*–*	*13.7%*

Source: Company information

[FY2023] Proforma Net Assets

KRWb	MRD Dec.31	ADF Dec.31	MZ Dec.31	PP Dec.31	Agg. Dec.31	Consol Adj. Dec.31	Proforma Dec.31
Fixed assets	28,117	32	–	15	28,163	–	28,163
Tangible assets	24,413	1	–	0	24,413	–	24,413
Intangible assets	33	1	–	–	34	–	34
Deposits	3,671	30	–	15	3,716	–	3,716
NWC	(13,073)	157	–	3,412	(9,504)	(0)	(9,504)
TWC	1,117	186	–	7,684	8,986	(0)	8,986
AR, net	(3,594)	210	–	2,592	(791)	(0)	(791)
AR	1,499	218	–	2,593	4,309	(0)	4,309
AR, gross	1,843	218	–	2,619	4,680	(0)	4,680
ADA	(345)	–	–	(26)	(371)	–	(371)
Adv. receipts	5,092	8	–	0	5,100	–	5,100
Inventories	5,362	–	–	3,339	8,701	–	8,701
Merchandise	5,362	–	–	3,339	8,701	–	8,701
Ingredients	–	–	–	–	–	–	–
AP, net	651	25	–	(1,752)	(1,076)	–	(1,076)
AP, gross	888	26	–	219	1,133	–	1,133
Adv. payments	273	1	–	1,972	2,245	–	2,245
ADA	(36)	–	–	–	(36)	–	(36)
OWC	(14,190)	(28)	–	(4,272)	(18,490)	–	(18,490)
Accrued income	5,092	–	–	1,908	7,000	(5,127)	1,873
Other receivables	20	–	–	37	58	–	58
Prepaid expenses	21	–	–	2	23	–	23
Other payables	1,596	10	–	27	1,633	–	1,633
Accrued expenses	822	0	–	5,030	5,852	(5,127)	725
Withholdings	3,133	1	–	7	3,141	–	3,141
Deposits received	5,170	–	–	–	5,170	–	5,170
Taxes payable	7,395	18	–	1,156	8,569	–	8,569
VAT withholdings	1,206	–	–	0	1,207	–	1,207
Net cash	(32,129)	(1,088)	–	(81,111)	(114,328)	80,280	(34,048)
Cash and cash equiv.	12,576	42	–	89	12,708	–	12,708
Borrowings	44,706	1,130	–	81,200	127,036	(80,280)	46,756
Other assets and liab.	84,996	122	–	90,017	175,134	(80,280)	94,854
Loans	82,128	16	–	86,346	168,490	(80,280)	88,210
Investments	2,150	–	–	3,671	5,820	–	5,820
Others	–	106	–	–	106	–	106
Deferred tax assets	718	–	–	–	718	–	718
Net asset	67,911	(778)	–	12,333	79,466	(0)	79,466

Source: Company information

[Proforma] Consolidation Worksheet(4/6)

[FY2024] Proforma PL

	MRD	ADF	MZ	PP	Agg.	Consol Adj.	Proforma
KRWm	12mths	12mths	12mths	12mths	12mths	12mths	12mths
Revenue	242,009	53,992	50,002	71,318	417,321	(109,547)	307,774
Merchandise	192,378	687	44,686	71,316	309,068	(78,148)	230,920
Product	2,761	–	–	–	2,761	(332)	2,429
Incentive	8,802	8,865	–	–	17,667	(11,789)	5,878
Royalty	3,511	1,592	–	–	5,102	(86)	5,016
Opening	32,677	42,848	–	–	75,524	(13,073)	62,451
Others	1,881	–	5,316	2	7,199	(6,120)	1,079
Variable COSG	158,763	28,400	29,501	58,988	275,651	(85,263)	190,388
Merchandise/Opening	157,490	28,400	29,501	58,988	274,379	(84,931)	189,447
Product	1,272	–	–	–	1,272	(332)	941
Others	–	–	–	–	–	–	–
CM	83,247	25,592	20,502	12,330	141,670	(24,284)	117,386
CM%	*34.4%*	*47.4%*	*41.0%*	*17.3%*	*33.9%*	*22.2%*	*38.1%*
Fixed costs	60,195	11,845	18,387	1,240	91,667	(17,995)	73,672
Personnel costs	16,463	2,641	695	582	20,382	–	20,382
Fixed MC	140	–	–	–	140	–	140
Fixed SG&A	43,592	9,204	17,692	658	71,145	(17,995)	53,151
Ad. exp.	14,850	3,608	0	–	18,459	–	18,459
Comm. exp.	4,050	3,213	12,328	68	19,659	(13,060)	6,600
Operating exp.	–	–	–	–	–	–	–
Promotion	9,735	1,375	–	–	11,111	–	11,111
Freight	7,483	5	4,372	–	11,860	(4,842)	7,018
Rent	2,077	63	563	20	2,723	(93)	2,630
Supplies	1,369	367	130	34	1,899	–	1,899
Utilities	546	9	151	–	706	(0)	706
Traveling exp.	1,490	320	4	36	1,849	–	1,849
Taxes and dues	486	46	10	11	552	–	552
Storage exp.	88	–	–	438	526	–	526
Insurance prem.	262	19	17	6	303	–	303
Entertainment	377	31	46	–	454	–	454
Vehicle maint.	230	1	18	8	257	–	257
Bad debt exp.	79	–	–	35	114	–	114
Others	469	147	54	2	672	–	672
EBITDA	23,052	13,747	2,115	11,090	50,003	(6,290)	43,714
EBITDA%	*9.5%*	*25.5%*	*4.2%*	*15.5%*	*12.0%*	*5.7%*	*14.2%*
D&A	1,501	2	113	–	1,616	(150)	1,466
EBIT	21,551	13,745	2,002	11,090	48,387	(6,139)	42,248
Non-op. income	6,618	2	5	2,221	8,845	(2,434)	6,411
Non-op. expenses	6,889	234	0	1,006	8,129	(1,079)	7,050
EBT	21,279	13,514	2,007	12,304	49,104	(7,494)	41,609
CIT exp.	4,361	2,289	318	2,722	9,689	–	9,689
NI	16,919	11,225	1,689	9,582	39,414	(7,494)	31,920
NI%	*7.0%*	*20.8%*	*3.4%*	*13.4%*	*9.4%*	*6.8%*	*10.4%*

Source: Company information

[FY2024] Proforma Net Assets

	MRD	ADF	MZ	PP	Agg.	Consol Adj.	Proforma
KRWb	Dec.31	Dec.31	Dec.31	Dec.31	Dec.31	Dec.31	Dec.31
Fixed assets	63,184	146	1,682	20	65,032	(5,866)	59,166
Tangible assets	47,138	16	302	0	47,455	(5,866)	41,589
Intangible assets	4,047	1	330	–	4,377	–	4,377
Deposits	11,999	130	1,050	20	13,200	–	13,200
NWC	422	5,449	(6,864)	10,422	9,429	–	9,429
TWC	8,441	8,517	(6,326)	15,693	26,326	(6,789)	19,537
AR, net	1,597	1,589	689	2,011	5,886	(9,767)	(3,880)
AR	2,791	8,645	695	2,011	14,142	(10,052)	4,089
AR, gross	3,215	8,645	695	2,073	14,627	(10,052)	4,574
ADA	(424)	–	–	(61)	(485)	–	(485)
Adv. receipts	1,194	7,056	5	–	8,255	(286)	7,970
Inventories	3,947	7,147	1,784	11,550	24,427	–	24,427
Merchandise	3,947	7,147	1,784	11,550	24,427	–	24,427
Ingredients	–	–	–	–	–	–	–
AP, net	(2,897)	218	8,798	(2,132)	3,988	(2,978)	1,010
AP, gross	994	403	8,909	332	10,637	(3,264)	7,373
Adv. payments	3,937	184	111	2,463	6,695	(286)	6,409
ADA	(45)	–	–	–	(45)	–	(45)
OWC	(8,019)	(3,068)	(538)	(5,271)	(16,896)	6,789	(10,108)
Accrued income	8,208	–	–	2,626	10,834	(5,949)	4,885
Other receivables	360	–	3	1	364	–	364
Prepaid expenses	49	313	–	2	365	–	365
Other payables	7,715	616	42	104	8,477	(6,789)	1,688
Accrued expenses	1,449	0	118	5,940	7,508	(5,949)	1,559
Withholdings	4,507	138	16	11	4,672	–	4,672
Deposits received	–	1	–	–	1	–	1
Taxes payable	2,640	2,289	317	1,845	7,090	–	7,090
VAT withholdings	326	337	48	–	711	–	711
Net cash	(89,766)	4,838	8,870	(1,105)	(77,163)	7,610	(69,553)
Cash and cash equiv.	4,256	4,838	8,870	5,995	23,959	–	23,959
Borrowings	94,022	–	–	7,100	101,122	(7,610)	93,512
Other assets and liab.	109,841	14	–	12,079	121,933	(11,239)	110,695
Loans	96,182	14	–	8,408	104,603	(7,610)	96,993
Investments	12,699	–	–	3,671	16,369	(3,629)	12,741
Others	–	–	–	–	–	–	–
Deferred tax assets	961	–	–	–	961	–	961
Net asset	83,681	10,447	3,689	21,415	119,232	(9,494)	109,737

Source: Company information

[Proforma] Consolidation Worksheet(5/6)

[1H2025] Proforma PL

KRWm	MRD 6mths	ADF 6mths	MZ 6mths	PP 6mths	Agg. 6mths	Consol Adj. 6mths	Proforma 6mths
Revenue	147,728	139,821	98,282	35,385	421,217	(145,808)	275,408
Merchandise	140,534	1,780	94,064	35,385	271,764	(58,376)	213,388
Product	899	–	–	–	899	(243)	656
Incentive	3,465	23,025	–	–	26,490	(26,076)	414
Royalty	1,787	2,664	–	–	4,450	–	4,450
Opening	586	112,352	–	–	112,938	(57,583)	55,355
Others	456	–	4,219	–	4,675	(3,530)	1,144
Variable COSG	87,124	68,254	62,245	35,743	253,365	(92,258)	161,107
Merchandise/Opening	86,841	68,254	61,954	35,743	252,792	(92,015)	160,777
Product	283	–	–	–	283	(243)	40
Others	–	–	290	–	290	–	290
CM	60,604	71,567	36,038	(357)	167,851	(53,550)	114,301
CM%	*41.0%*	*51.2%*	*36.7%*	*(1.0%)*	*39.8%*	*36.7%*	*41.5%*
Fixed costs	43,998	22,614	34,610	750	101,971	(29,606)	72,365
Personnel costs	10,884	4,138	786	254	16,062	–	16,062
Fixed MC	67	–	–	–	67	–	67
Fixed SG&A	33,047	18,476	33,824	495	85,843	(29,606)	56,236
Ad. exp.	1,376	7,586	5	–	8,967	–	8,967
Comm. exp.	4,409	4,621	26,919	69	36,018	(26,112)	9,906
Operating exp.	11,341	–	–	–	11,341	–	11,341
Promotion	1,903	3,671	–	–	5,574	–	5,574
Freight	3,740	10	5,820	–	9,570	(3,431)	6,139
Rent	4,328	235	594	10	5,167	(64)	5,103
Supplies	2,118	884	126	12	3,140	–	3,140
Utilities	1,561	24	157	–	1,741	–	1,741
Traveling exp.	464	577	36	1	1,077	–	1,077
Taxes and dues	314	333	26	9	683	–	683
Storage exp.	63	–	–	373	436	–	436
Insurance prem.	427	52	19	16	514	–	514
Entertainment	14	120	87	–	221	–	221
Vehicle maint.	81	37	31	4	153	–	153
Bad debt exp.	–	–	–	–	–	–	–
Others	910	326	5	1	1,243	–	1,243
EBITDA	16,606	48,953	1,428	(1,107)	65,880	(23,944)	41,936
EBITDA%	*11.2%*	*35.0%*	*1.5%*	*(3.1%)*	*15.6%*	*16.4%*	*15.2%*
D&A	4,224	63	112	–	4,398	(995)	3,403
EBIT	12,383	48,890	1,316	(1,107)	61,481	(22,949)	38,533
Non-op. income	2,941	31	8	23	3,002	(133)	2,869
Non-op. expenses	4,592	430	33	128	5,183	(133)	5,050
EBT	10,732	48,491	1,291	(1,213)	59,301	(22,949)	36,352
CIT exp.	–	–	–	–	–	–	–
NI	10,732	48,491	1,291	(1,213)	59,301	(22,949)	36,352
NI%	*7.3%*	*34.7%*	*1.3%*	*(3.4%)*	*14.1%*	*15.7%*	*13.2%*

Source: Company information

Proforma Net Assets as of Jun 2025

KRWb	MRD Jun.30	ADF Jun.30	MZ Jun.30	PP Jun.30	Agg. Jun.30	Consol Adj. Jun.30	Proforma Jun.30
Fixed assets	137,949	7,135	1,928	20	147,032	(28,814)	118,218
Tangible assets	111,841	4,167	526	0	116,534	(28,814)	87,719
Intangible assets	8,870	868	297	–	10,035	–	10,035
Deposits	17,238	2,100	1,105	20	20,464	–	20,464
NWC	(50,046)	63,593	(9,692)	6,955	10,809	0	10,809
TWC	13,504	69,387	(8,941)	7,224	81,174	(58,369)	22,805
AR, net	3,313	67,032	(622)	1,563	71,285	(63,640)	7,645
AR	3,496	67,078	1,573	1,607	73,754	(64,727)	9,027
AR, gross	3,919	67,078	1,573	1,668	74,239	(64,727)	9,513
ADA	(424)	–	–	(61)	(485)	–	(485)
Adv. receipts	183	46	2,196	44	2,469	(1,086)	1,382
Inventories	6,631	3,305	6,373	4,610	20,919	–	20,919
Merchandise	6,631	3,305	6,363	4,610	20,909	–	20,909
Ingredients	–	–	10	–	10	–	10
AP, net	(3,560)	949	14,692	(1,051)	11,030	(5,271)	5,758
AP, gross	75	984	14,797	470	16,326	(6,326)	10,000
Adv. payments	3,680	35	106	1,521	5,342	(1,054)	4,287
ADA	(45)	–	–	–	(45)	–	(45)
OWC	(63,550)	(5,795)	(751)	(269)	(70,365)	58,369	(11,996)
Accrued income	2,794	–	–	68	2,862	437	3,299
Other receivables	3,004	85	3	–	3,091	(0)	3,091
Prepaid expenses	8	–	–	–	8	–	8
Other payables	62,086	2,175	124	155	64,540	(58,401)	6,139
Accrued expenses	1,897	77	150	23	2,147	437	2,584
Withholdings	4,547	233	20	48	4,849	32	4,880
Deposits received	–	7	–	–	7	–	7
Taxes payable	(771)	3,393	(1)	111	2,733	–	2,733
VAT withholdings	1,596	(6)	462	–	2,052	(0)	2,052
Net cash	(105,731)	(12,803)	9,396	4,562	(104,577)	3,000	(101,577)
Cash and cash equiv.	8,949	4,501	9,396	5,662	28,508	–	28,508
Borrowings	114,680	17,304	–	1,100	133,084	(3,000)	130,084
Other assets and liab.	110,241	13	3,000	7,666	120,920	(6,629)	114,291
Loans	94,670	13	3,000	3,995	101,678	(3,000)	98,678
Investments	14,610	–	–	3,671	18,281	(3,629)	14,652
Others	–	–	–	–	–	–	–
Deferred tax assets	961	–	–	–	961	–	961
Net asset	92,412	57,938	4,631	19,202	174,184	(32,443)	141,742

Source: Company information

[Proforma] Consolidation Worksheet(6/6)

[LTM2025] Proforma PL

	MRD	ADF	MZ	PP	Agg.	Consol Adj.	Proforma
KRWm	12mths	12mths	12mths	12mths	12mths	12mths	12mths
Revenue	262,592	183,075	143,109	67,810	656,586	(212,114)	444,472
Merchandise	237,619	2,261	134,431	67,810	442,121	(97,067)	345,054
Product	2,062	–	–	–	2,062	(516)	1,545
Incentive	7,806	29,971	–	–	37,777	(36,698)	1,079
Royalty	3,652	3,852	–	–	7,504	(40)	7,463
Opening	10,458	146,991	–	–	157,448	(68,986)	88,462
Others	996	–	8,679	(1)	9,675	(8,807)	868
Variable COSG	160,730	91,347	89,041	63,361	404,478	(137,073)	267,405
Merchandise/Opening	159,933	91,347	88,751	63,361	403,391	(136,557)	266,834
Product	797	–	–	–	797	(516)	281
Others	–	–	290	–	290	–	290
CM	101,862	91,729	54,068	4,449	252,108	(75,041)	177,067
CM%	*38.8%*	*50.1%*	*37.8%*	*6.6%*	*38.4%*	*35.4%*	*39.8%*
Fixed costs	69,292	32,682	50,840	1,410	154,224	(45,545)	108,679
Personnel costs	18,298	6,422	1,387	542	26,649	–	26,649
Fixed MC	131	–	–	–	131	–	131
Fixed SG&A	50,863	26,260	49,453	868	127,444	(45,545)	81,899
Ad. exp.	4,651	10,162	6	–	14,819	–	14,819
Comm. exp.	6,273	7,768	37,871	83	51,995	(37,959)	14,036
Operating exp.	11,341	–	–	–	11,341	–	11,341
Promotion	5,906	4,858	–	–	10,764	–	10,764
Freight	8,442	15	9,614	–	18,071	(7,523)	10,548
Rent	5,641	283	1,150	20	7,093	(64)	7,030
Supplies	2,902	1,215	207	26	4,352	–	4,352
Utilities	1,970	30	296	–	2,296	–	2,296
Traveling exp.	1,215	830	38	16	2,099	–	2,099
Taxes and dues	380	370	26	15	792	–	792
Storage exp.	115	–	–	671	787	–	787
Insurance prem.	615	70	31	18	733	–	733
Entertainment	88	149	126	–	363	–	363
Vehicle maint.	96	37	47	9	189	–	189
Bad debt exp.	79	–	–	6	85	–	85
Others	1,151	473	40	3	1,667	–	1,667
EBITDA	32,570	59,047	3,228	3,039	97,884	(29,496)	68,388
EBITDA%	*12.4%*	*32.3%*	*2.3%*	*4.5%*	*14.9%*	*13.9%*	*15.4%*
D&A	5,119	65	205	–	5,388	(1,124)	4,265
EBIT	27,451	58,983	3,023	3,039	92,496	(28,372)	64,123
Non-op. income	7,153	32	12	1,261	8,458	(1,769)	6,689
Non-op. expenses	9,606	492	33	170	10,301	(141)	10,160
EBT	24,998	58,523	3,002	4,130	90,653	(30,001)	60,652
CIT exp.	2,709	2,289	318	2,540	7,856	–	7,856
NI	22,289	56,234	2,684	1,589	82,796	(30,001)	52,796
NI%	*8.5%*	*30.7%*	*1.9%*	*2.3%*	*12.6%*	*14.1%*	*11.9%*

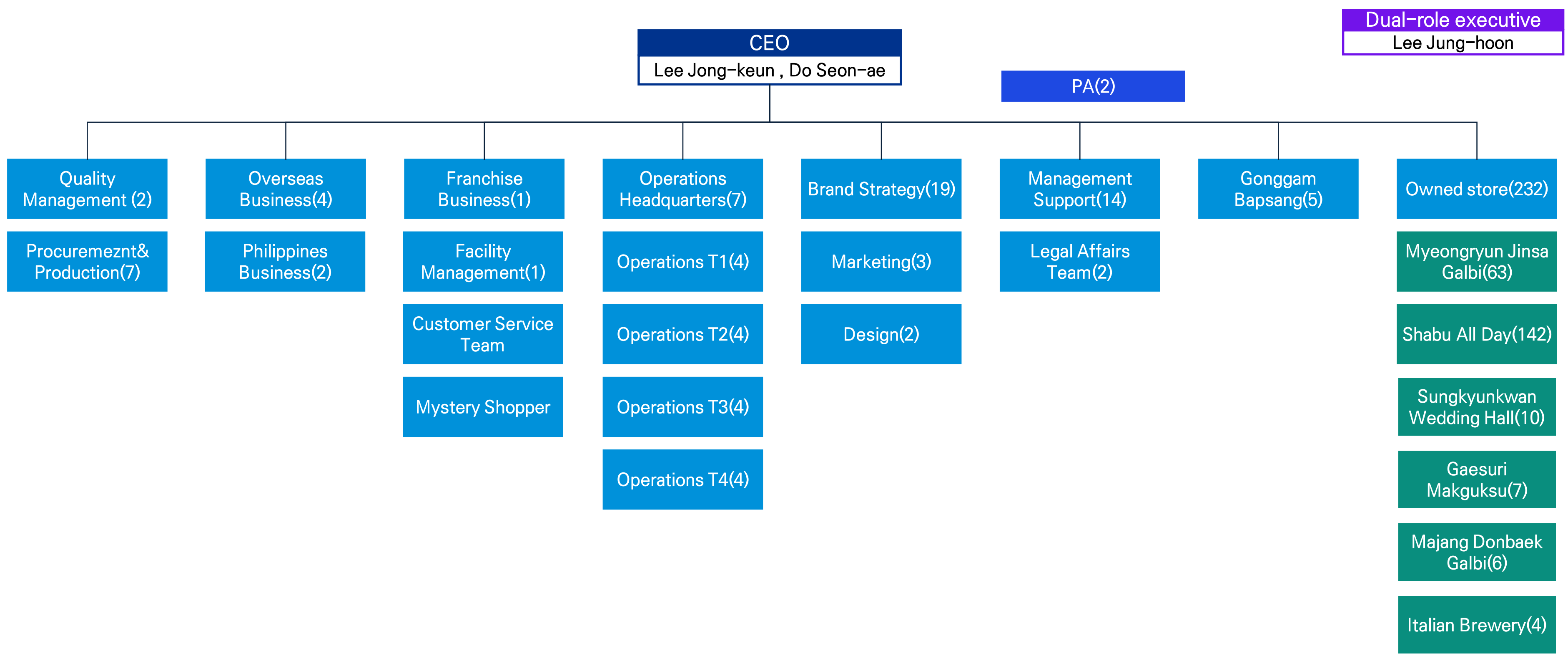
Source: Company information

Organization Chart(1/2)

As of June 2025, MRD's total headcount was 325, of which 232 are employed at Owned store.

Organization Chart as of June 2025

MRD(325)

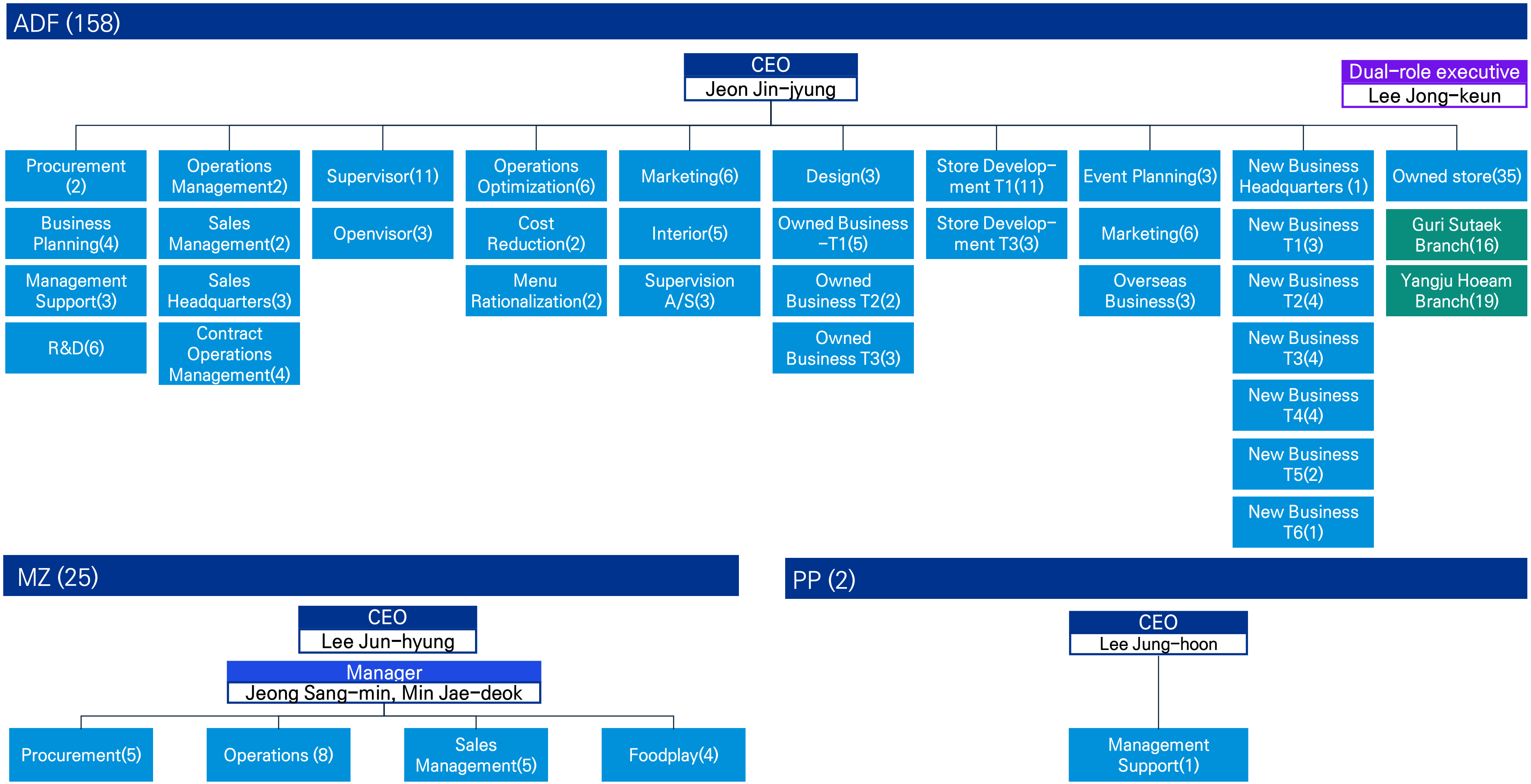


Source: Company information

Organization Chart(2/2)

As of June 2025, ADF's total headcount was 158.

Organization Chart as of June 2025



Source: Company information

Headcount by Owned Store

As of June 2025, The headcount at Owned stores was 232 for MRD and 35 for ADF.

Headcount by Owned store as of June 2025	
MRD	232
Shabu All Day	142
SAD Yongin Mabuk Branch	21
SAD Uijeongbu Minrak Branch	19
SAD Namyangju Maseok Branch	19
SAD Hanam Geomdansan Branch	15
SAD Namyangju Jinjeop Branch	12
SAD Bucheon Naedong Branch	12
SAD Seoul Bomun Branch	11
SAD Jamsil Main Branch	9
SAD Yangju Samsung Branch	9
SAD Incheon Seongnam Branch	8
SAD Byeollae New Town Branch	7
Myeongryun Jinsa Galbi	63
MJG Daejeon Jungchon Branch	19
MJG Daejeon Oryu Branch	18
MJG Bucheon Station Branch	9
MJG Seoul Mokdong Station Branch	5
MJG Seoul Gugi Branch	4
MJG Paju Yadang Branch	4
MJG Seoul Mangwoo Branch	4
Sungkyunkwan Wedding Hall	10
Gaesuri Makguksu Amsa Branch	7
Majang Donbaek Galbi Jeongja Branch	6
Italian Brewery Sincheon Branch	4
ADF	35
Shabu All Day	35
SAD Yangju Hoeam Branch	19
SAD Guri Sutaek Branch	16
Total	267

Source: Company information

Contact us

Park, Young Gul (Partner)
KPMG Deal Advisory I

T +82 2 2112 0749
E younggulpark@kr.kpmg.com

Park, Kyung Sang (Partner)
KPMG Deal Advisory I

T +82 2 2112 3262
E kyungsangpark@kr.kpmg.com